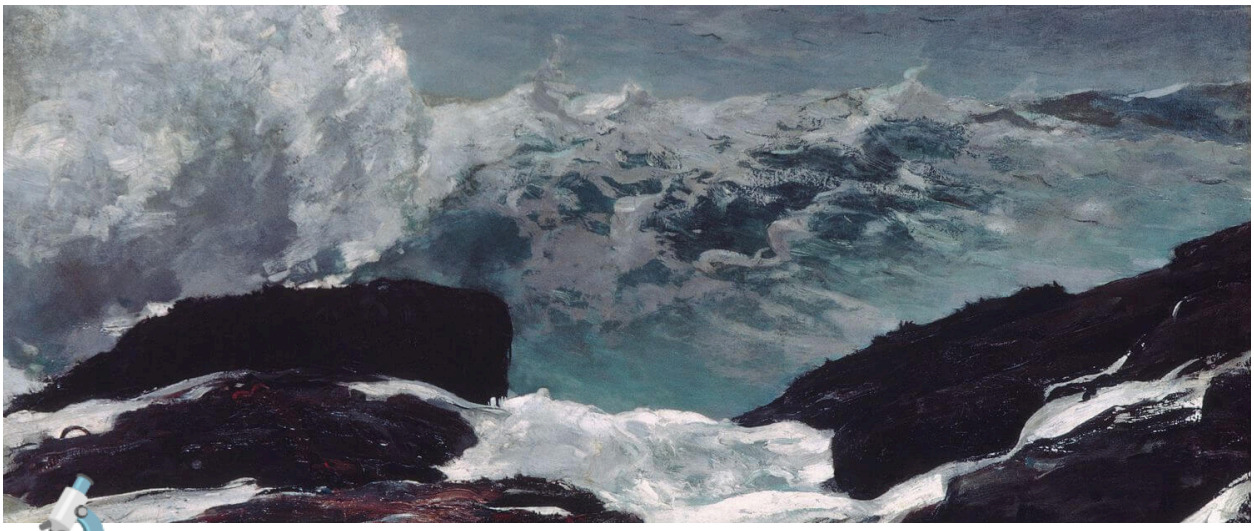

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I. The Evolving Landscape: Economic Vulnerability, Welfare, and Political Realignments

A. The "Embedded Liberalism" Bargain and Its Contemporary Challenges

The concept of "embedded liberalism" has been central to understanding the relationship between economic openness and social protection in advanced democracies. This framework, originally developed by Ruggie (1982), conceptualizes how welfare states historically buffered citizens against economic shocks.

As Milner (2021) explains: "For a long time, scholars assumed that voters faced by the vicissitudes of openness to the global economy would demand compensation in exchange for such openness, the so called 'embedded liberalism' bargain. Government compensation is defined as public programs that transfer resources to those facing income shocks or economic vulnerability. Compensation via redistribution was the program of the left and seemed to attract working class voters and damp preferences for extremism."

However, this bargain has become increasingly strained in recent decades. Colantone and Stanig (2018) argue that: "The inability of governments to set up effective compensation policies for the 'left behind' of globalization might have led to a crisis of embedded liberalism, breeding isolationism and neonationalism." They further note that "While trade liberalization is estimated

to have generated net welfare gains in advanced countries, its benefits have been distributed highly unequally, leaving some social groups and, importantly, some geographic areas worse off."

A key puzzle in contemporary political economy concerns the changing political alignments among working-class voters. As Milner (2021) observes: "A key puzzle now is why working class voters when they are hurt by globalization and/or technological change choose right-wing parties instead of their more 'natural' attachments to the left, who tend to support social welfare programs more."

Scholars increasingly question whether traditional compensation mechanisms remain effective at moderating political discontent. Gidron and Hall (2017) suggest that "people whose social status has fallen and who feel left behind by globalization because they are its unacknowledged 'losers' prefer recognition over redistribution." This indicates a fundamental shift in the relationship between economic vulnerability and political preferences.

The evolution of global economic integration has created new challenges for welfare states. Baldwin (2016) argues that recent transformations in globalization, particularly the "unbundling" of production through global value chains, have created heightened uncertainty: "In both sunrise and sunset sectors, some production stages moved, others did not. As a consequence, the winners and losers from globalization are much harder to predict... globalization's impact on national economies is less predictable and more individual. The fact that it is driven by information and communication technology means the impact is also more sudden and less controllable." This creates deeper insecurity at the individual level with significant political implications.

B. Defining Economic Vulnerability in the 21st Century

Economic vulnerability in contemporary advanced economies is multifaceted, encompassing various dimensions beyond simple income measures. Dorn, Gstrein, and Neumeier (2024) identify several key factors: "The most important economic factors explaining the rise of populism as well as the loss of trust in political institutions are a widening gap between rich and poor, growing regional disparities, economic uncertainty, and exposure to economic shocks, as well as fears about future economic development and social decline."

This comprehensive understanding of vulnerability goes beyond material hardship to include precarity, uncertainty, and future expectations. Albanese et al. (2021) note that "Economic roots of populism in Western countries point to the role of economic insecurity that plagues losers from recent large economic shocks."

1. Technological Change and Automation

Automation represents a distinctive form of economic vulnerability. Pitts and Winter (2024) explain that "For the likes of Autor et al (2003) and Cortes (2016), routineness defines a job's susceptibility to automation. Rather than a synonym for simplicity, routineness describes compliance with a set of tasks that, whilst initially often the result of considerable skill and training, can thereafter be performed by following a series of 'rules and procedures'. This 'codifiability', suggest Acemoglu and Autor (2011), is the aspect that renders routine work susceptible to automation, whether it occurs in factories, in offices or elsewhere."

Importantly, automation affects employment gradually rather than causing immediate mass layoffs. As Kurer (2020) observes: "Routine workers' situation in an increasingly automated world of work thus provides an ideal case to disentangle the political consequences of fearing as opposed to experiencing economic adversity."

2. Globalization and Trade Exposure

Trade exposure represents another significant source of economic vulnerability. Colantone and Stanig (2018) focus specifically on the "China shock": "We show that globalization is a key determinant of [the revival of nationalism]. We focus on the competitive shock brought about by the surge in imports from China between 1988 and 2007."

The effects of trade shocks are often geographically concentrated, creating "left behind" places. As Colantone and Stanig (2018) explain: "Concerning the China shock, areas that were more exposed to Chinese competition, in virtue of an overlapping industry specialization, have witnessed a decline in employment not only in the affected industries, but also in general, as other industries have not adequately absorbed laid-off workers. The speed of adjustment for local labor markets has been very slow, with observed persistence in regional decline for more than a decade, involving entire communities rather than just low-skilled workers."

3. Skill Specificity and Occupational Risk

Economic vulnerability varies significantly based on skill specificity and transferability. Bergman (2022) notes that "The underlying risk of occupational unemployment can thus be thought of as a continuum (Marx and Picot, 2020) that varies by skill level (Iversen and Soskice, 2001), skill specificity (Cusack et al., 2006), and the tasks performed at work."

Workers with highly specific skills face particular challenges: "Workers in professions requiring specific skills are likely to face greater labour market risks. A petroleum engineer in a petrochemical surveying firm might have skills that would be useless in other professions."

The vulnerability also varies by age cohort, as Gingrich (2019) observes: "For older workers, who are unlikely to retrain and join the public sector workforce, early retirement benefits and high EPL are particularly important." Meanwhile, "For younger workers, entering the labor force in an era of automation support for greater job opportunities (rather than compensation) is more crucial."

4. Precarity Dimensions

Precarity represents a multidimensional form of economic vulnerability that extends beyond employment status. Zhrnov (2024) explains: "Expanding on this, we have operationalized the sociological notion of precarity that was popularized by Standing (2011) and is now widely used in sociological research (Parfitt and Barnes, 2020) to examine the potential effect of precarity on populist voting, where precarity refers to 'a generalized set of social conditions and an associated sense of insecurity'."

Importantly, "While this concept originates in the field of the sociology of work, its relevance and implications are far broader given the intersections between work and financial insecurity that individuals face in current times."

Research distinguishes between different forms of precarity, each with distinct effects on political attitudes. Zhrnov (2024) identifies that "Work-related precarity, particularly precarity at work (working conditions), is significantly associated with populist outlook, while precarity of tenure shows a weaker relationship when both are considered together."

The concept of "anxious meritocrats" captures how economic vulnerability affects political attitudes:

> "We anticipate that 'economically anxious' meritocrats, that is, those individuals who hold meritocratic norms but are worried about their own household's economic prospects, are the most open to this pro-protection trade prompt. The absence of social mobility is exceptionally disquieting to these individuals." (Ballard-Rosa, Goldstein, & Rudra, 2024)

Research on middle-class vulnerability highlights the importance of economic stability:

> "In addition to income, economic stability and a secure lifestyle can be seen as one of the main characteristics of the middle class. As Banerjee &

> Duflo (2008, p. 26) put it, 'nothing seems more middle class than the fact of having a steady well-paying job.'" (Derndorfer, 2025: 4)

The risk of downward mobility particularly affects political behavior:

> "As people are generally loss averse (Kahneman & Tversky, 1984), losing one's position and moving down the social ladder has more far-reaching consequences than maintaining or improving one's standing in society." (Derndorfer, 2025: 2)

C. Experiencing Vulnerability: Key Dimensions of Social Impact

Economic vulnerability affects individuals along multiple social dimensions beyond purely material concerns.

1. Anticipated vs. Experienced Hardship

A crucial distinction emerges between anticipated hardship (fear of future economic decline) and experienced hardship (actual economic disadvantage). Pitts and Winter (2024) note that "The results carve a middle path through the competing economic and non-economic emphases of the literature on populism by moving away from direct material hardship to a broader array of economic processes – associated with 'relative social decline' – that in turn manifest in non-economic political responses epitomised in 'socially conservative resentment'."

Kurer (2020) makes this distinction explicit: "This enables Kurer to differentiate between those who 'survive' in an 'increasingly vulnerable occupational environment' that 'activates concerns about status maintenance' and increases the appeal of nostalgic, socially conservative politics; and those who experience job loss and material hardship itself and thus reach for a politics geared towards economic compensation or security."

2. Social Integration and Community Dimensions

Economic vulnerability often manifests through community decline and social disintegration. Bolet (2021) argues that "This paper advances the theory that the degradation of local socio-cultural hubs is linked to radical right support by contributing to loss of community and cultural identity."

The community or regional level appears crucial for understanding political reactions to economic change. As Broz et al. explain: "Because of the regional impact of structural economic change, we think that the appropriate unit of analysis for studying populism is the community, not the individual. The localization of economic activity means that individuals within a community are linked together by economic spillovers."

Local social spaces serve functions beyond economic ones: "These local spaces 'are not only functional enablers of social interaction; they also convey historical, geographical, and social meanings that their inhabitants internalize and re-enact in their daily interactions within such spaces'."

3. Status Concerns and Recognition

Beyond material deprivation, economic vulnerability generates concerns about social status and recognition. Gidron and Hall (2018) explain: "We suggest that one way to do so is to see status anxiety as a proximate factor inducing support for populism, and economic and cultural developments as factors that combine to precipitate such anxiety."

Kurer (2020) argues that "...routine workers who are threatened by automation have to cope with parallel challenges to both their material and psychological well-being." These psychological challenges include status anxiety and fears about social positioning.

Im and Komp-Leukkunen (2021) elaborate on how automation affects status: "Kurer (2020) argues that routine workers face the threat of social decline even if they cling onto their routine jobs, because societal recognition and status go hand in hand with the level of demand for jobs. When demand for non-routine jobs outstrips demand for routine ones, the status of routine work declines vis-à-vis the status of non-routine work. Automation thus 'reshapes the employment structure and hence the relative importance and value attached to different kinds of work'."

Status concerns extend beyond material factors and involve social recognition and identity:

> "While employment as a routine blue-collar worker and physical labour provided societal recognition and status during times of industrial modernity, this is no longer the case in postmodern knowledge economies." (Bayerlein, Kölzer, & Metten, 2025)

This creates anxiety among traditionally high-status groups:

> "Male blue-collar workers from the white working class, particularly those without a university degree, increasingly feel marginalised in Western societies. Although their absolute material position has not objectively deteriorated significantly, they feel particularly threatened in their subjective and relative status by an increasingly multicultural society in which migrants, minorities, and female workers are gaining status." (Bayerlein, Kölzer, & Metten, 2025)

4. Ontological Security and Existential Anxiety

Economic vulnerability can threaten individuals' sense of ontological security—their fundamental sense of security of being. Browning (2018) defines ontological security as "fundamentally concerned with people's ability to 'go on' with their everyday lives without slipping into melancholic or psychotic states."

Metten and Bayerlein expand this concept to identify two key dimensions of "existential anxiety": "People with high levels of anxiety are not per se ideologically close to the anti-globalisation policy position of RWPPs but can be mobilised to vote for these parties if RWPPs are able to fuel their existential anxieties without necessarily changing their globalisation attitudes. In that regard the vote choice becomes not a question of attitude but of anxiety."

Globalization and rapid social change can threaten ontological security. According to Metten and Bayerlein: "By occupying globalisation issues and defining globalisation in and by itself as existential threats to society, culture, religion, and tradition, populists securitise globalisation processes and stress the need for quick action to halt allegedly dangerous societal changes. A need for action that is—for selfish reasons—not addressed by the 'ruling elite' of the political system, but only by the RWPP."

II. Welfare Institutions: Shaping Experiences, Attitudes, and Political Trajectories

A. Foundational Theories of the Welfare State

1. Varieties of Welfare Capitalism

A fundamental theoretical framework for understanding welfare states comes from Esping-Andersen's (1990) typology distinguishing different welfare regimes. As the research corpus notes: "Esping-Andersen (1990) identified three main welfare state regimes based on different principles of social rights, stratification, and state-market relationships: liberal, conservative-corporatist, and social democratic. Liberal welfare states (like the US and UK) offer minimal, means-tested benefits; conservative regimes (like Germany and France) provide earnings-related benefits that maintain status differences; and social democratic regimes (like Sweden) provide generous, universal benefits that promote equality."

These institutional arrangements profoundly shape how citizens experience economic vulnerability. Van Hootegem (2024) argues that "In the present analysis, we are interested in whether a holistic personal experience – regardless of the multitude of layers involved – results in a new outlook on perceptions of system abuse. Understanding the role of these formative personal experiences is crucial to gain knowledge on whether citizens can still update their views on political issues based on their own relevant events or whether socializations in political narratives set unchangeable precedents."

2. Policy Feedback Effects

A central theoretical perspective explains how welfare institutions shape subsequent politics through feedback effects. This approach, associated with scholars like Pierson (1994, 2001) and Mettler (2002), suggests that "policies create experiences that influence citizens' political attitudes and capacity for action."

Pitts and Winter (2024) elaborate: "Policy feedback effects theory proposes that existing policies shape subsequent political dynamics and preferences through various mechanisms. The paper distinguishes between 'self-reinforcing' and 'self-undermining' feedback effects. Self-reinforcing effects occur when policies create constituencies that support their continuation, while self-undermining effects arise when policies generate opposition to themselves."

Some policies generate positive feedback effects: "Mettler (2002) describes how the US-American GI-Bill has led to 'inclusion effects' among its recipients, namely to increased levels of social and public participation."

But feedback can also be negative or self-undermining. Bergman (2023) notes: "Finally, the implementation of such policies that intend to 'cushion' radical right support, might have an adverse feedback effect of 'catalyzing' greater support for radical right parties. Should policies favour socio-demographic groups that potential populist radical right voters displease of, such as those not affiliated with nostalgic views of the welfare state like immigrants or labour market

outsiders or those not involved in 'producerist' activities, like the unemployed, voters might turn to the populist radical right to reorient policies in favour of those currently employed."

Bergman further explains that "More formally, this suggests that some policies might have a 'self-undermining' feedback effect, whereby high levels of intervention might lead to public opinion (and voting behaviour) to decrease interventionism and vice versa."

3. Universal versus Targeted Welfare Programs

A key theoretical distinction exists between universal and targeted welfare programs. Laenen and Meuleman (2025) explain: "Many scholars have argued that highly selective welfare schemes which are for instance only available to poor people through means testing, foster the stereotypical image that welfare claimants are a 'different kind of people', characterized by a deeply rooted unwillingness to contribute meaningfully to society. Universal schemes, which are accessible to all on the basis of citizenship or residency regardless of actual financial needs, are claimed to be much less divisive, and therefore generate less stigmatizing attitudes."

Bergman (2023) connects these differences to political outcomes: "More 'visible' welfare states and labour market interventions shape the overall salience of social programmes (Gingrich, 2014). Voters tending towards PRRP might then be strongly primed by observations of a policy they tend to disfavour."

4. Institutional Trust Theory

The relationship between welfare institutions and political attitudes is mediated by institutional trust. Metten and Bayerlein identify trust in institutions as "a crucial endogenous dimension of existential anxiety." They argue that "Social programs that reduce such anxieties by maintaining economic security and institutional trust may diminish the appeal of populist narratives that frame economic changes as existential threats."

Dijkstra et al. find that "More than the gap between rich and poor regions, it is the long-term economic and industrial trajectory of places that makes the difference for the anti-system vote."

Huberman's research confirms the importance of institutional trust: "Our findings support recent studies on populist attitudes being the result of a (perceived) lack of political representation. Accordingly, populist attitudes could be mitigated, at least in part, by ensuring that people feel better represented and that their policy positions are reflected in the government's actions."

5. Recognition and Respect Theory

Beyond material support, welfare institutions convey messages of recognition and respect that influence political attitudes. Gidron and Hall emphasize: "If compensation comes in the form of social benefits, our analysis suggests that this may not be enough to assuage voters drawn to radical parties. Radical right voters are not especially strong supporters of redistribution. What distinguishes them from voters for mainstream parties are concerns about recognition – the feeling that they have been pushed from the mainstream to the margins of society – and having a decent job is central to being in that mainstream."

Wagner identifies how welfare experiences can convey misrecognition: "The 'exclusion' and 'misrecognition' experiences that are associated to these behaviors can be rather clearly classified. All of them share similar characteristics: urgent problem pressure (high stakes) meets perceived misrecognition of one's needs and capacities by the state as well as a perception of double standards: the official goals and justifications of the policy do not seem to correspond to its effects on the ground."

B. Traditional Compensatory Welfare Responses: Types, Efficacy, and Limitations

1. Early Retirement Benefits

Early retirement benefits represent a passive compensation approach that was particularly prominent in Continental European welfare states. As Foster and Frieden note: "In most European jurisdictions, policymakers have weakened unemployment protection by reducing income replacement rates and shortening the length of benefits. In 1975, the average replacement rate of unemployment insurance in the OECD was 65%; by 1995, it had fallen to 55%. Since the beginning of the 21st century, replacement levels have fallen even further."

This approach was measured by "The percentage of men between 55 and 64 who are economically inactive" and was strongest in countries like Belgium, France, and Germany, with its primary purpose being "Cushioning against [income] effects of job loss."

2. Public Service Expansion

Public service expansion represents an active compensation approach favored particularly by Nordic welfare states. Gingrich (2019) explains: "The Nordic countries expanded public sector jobs alongside a more regulated private labor market and less early retirement."

This strategy is measured by "In-kind spending as a percentage of GDP – a measure of public service spending" and benefits all workers, especially service sector employees. It emphasizes

"expanded public sector jobs" rather than passive transfers, creating alternative employment opportunities to offset job losses in vulnerable sectors.

3. Labor Market Regulation

Labor market regulation focuses on preventative protection rather than post-hoc compensation: "Employment protection legislation (EPL), with higher numbers demonstrating stricter rules regarding tenure and dismissal of individuals in permanent jobs and more restrictions on hiring temporary workers."

This approach is strongest in Continental and Nordic welfare states and weakest in Anglo-Saxon liberal market economies. Its primary purpose is "Reducing the likelihood of job loss" rather than compensating after displacement has occurred.

Different regions adopted distinct policy models: "Anglo-countries tended to pursue a market approach to employment regulation (lower EPL) with less extensive support for either early retirement or public services" while "Continental policymakers maintained regulated labor markets but limited public service expansion (relative to the Nordic countries), cementing a safety net built around transfers, especially early retirement."

4. Benefit Retrenchment and Its Political Effects

Benefit retrenchment has been associated with increased populist support. Foster and Frieden find: "We find that cuts to unemployment benefits are associated with greater support for populist parties in general and leftwing parties in particular."

The magnitude of this effect is substantial: "A 20% cut in labor market spending per unit of unemployment from 1995-levels is associated with a six-percentage point higher likelihood of supporting a populist party and a three-percentage point higher likelihood of supporting a radical leftwing party."

This effect is strongest among the most economically vulnerable: "This effect is more pronounced for individuals who have experienced three or more months of unemployment and among those who report their household financial situation as 'very difficult'."

Fetzer directly connects austerity to Brexit support: "This paper provides evidence suggesting that austerity policies from late 2010 onward are key to understanding Brexit. The welfare reforms are a strong driving factor behind the growing support for the populist UKIP party in the wake of the EU referendum, contributed to the development of broader anti-establishment preferences, and are strongly associated with higher levels of support for Leave."

5. Limitations of Traditional Compensatory Approaches

The research highlights several limitations to traditional compensatory approaches. Kurer (2020) argues that "When relative societal decline rather than material hardship are at the heart of socially conservative resentment, traditional welfare policy may be an insufficient response to satisfy exposed workers and hence an ineffective remedy to counter the ascent of right-wing populist movements."

Im and Komp-Leukkunen (2021) note: "Our findings suggest that social policies that compensate for labour market disadvantage alone may not alleviate status worries experienced by automation-vulnerable workers. Instead, policies that help retain dignity and status previously conferred by routine jobs may better avert the political fallout from automation."

Gallego and Kurer (2022) report: "Can the political backlash of economic losers be prevented through compensatory policies? Gingrich (2019) provides the only careful comparative study that assesses if public policies aimed at palliating labor market risks for workers affected by deindustrialization and automation can help prevent political disillusionment and the turn to the radical right. She finds that workers highly exposed to automation as measured by RTI are not less likely to vote for populist parties in countries with more generous early retirement policies and in-kind spending, nor in countries with more protective labor market regulation. This is a concerning finding, as it suggests that compensating workers is not effective at preventing their turn to protest voting."

C. Active Labor Market Policies (ALMPs): Design, Implementation, and Varied Impacts

1. ALMP Classification and Typology

Malo (2020) defines proactive labor market policies as those "not necessarily designed to react to a specific problem at a given moment in the short term, but to potentially pre-empt a wide range of problems or imbalances caused by economic shocks or other sources of unexpected changes."

Bonoli (2013) classifies ALMPs along two dimensions: their pro-market employment orientation and their human capital investment intensity. This framework produces four distinct types:

1. **Upskilling**: High human capital investment with strong pro-market orientation, providing vocational training to help people gain new skills or update obsolete ones
2. **Employment assistance**: Low human capital investment with strong pro-market orientation, including placement services and job search programs

3. **Occupation**: Human capital maintenance without strong pro-market emphasis, keeping jobless people active to prevent skill depletion
4. **Incentive reinforcement**: No human capital investment with strong pro-market emphasis, focusing on strengthening work incentives through benefit reductions

2. Implementation Variables

Malo (2020) emphasizes implementation as crucial: "Policy implementation is found to be a key issue that has an impact on the efficacy of specific ALMPs and their aggregate impacts, and on the effects of the integrated approach between ALMPs and income support policies."

Several implementation factors are critical:

1. **Sustained funding**: "Funding stability during the business cycle increases the aggregate effectiveness of ALMPs and is a key proactive feature of ALMPs from an aggregate perspective."
2. **Administrative capacity and coordination**: Effective implementation requires sufficient administrative resources and coordination between different agencies.
3. **Tripartite social dialogue**: "Tripartite social dialogue seems an ideal instrument to find avenues to enhance the positive effects of these implementation variables and proactive features."

3. Differential Impacts of ALMP Types

Research shows different ALMP types have varied impacts on well-being and political attitudes. Heins (2023) finds: "While 'enabling' types of ALMP focusing on human capital development and programmes that emulate regular employment seem to have mainly wellbeing-enhancing effects, 'employment assistance' types of ALMP or those that do not take into account personal circumstances such as lone parenthood have no or even negative wellbeing effects."

Participant experiences differ significantly: "Recipients of wage subsidies and those in subsidised self-employment – who are thus gaining actual work experience – show significantly enhanced wellbeing while those in training programmes – which in theory should increase future job prospects but in practice might not – show a smaller increase."

These different experiences may have important political implications: "The findings from research on the wellbeing effects of ALMP indicate that enabling and skill-enhancing programmes leading to sustainable good quality employment, rather than serving as a condition

for benefit receipt without any prospect of proper labour market integration are the way forward for a progressive labour market policy that takes wellbeing into account."

4. Historical Evolution of ALMPs

Bonoli's (2013) historical analysis reveals counter-intuitive findings about ALMP evolution. Contrary to common assumptions about progressive development of social investment, "the social investment orientation of policy is not a recent phenomenon. On the contrary the notion that labour market policy should increase the re-employment chances of jobless people by investing in their human capital was probably stronger in the 1950s and 1960s than today, at least in those countries that intervened in this field (most notably Sweden)."

ALMPs evolved through three historical phases:

- **Post-war years (1950s-1960s)**: During economic growth and labor shortages, ALMPs focused on upskilling (strongest social investment orientation)
- **Employment crisis (mid-1970s to mid-1990s)**: During sluggish growth and industrial restructuring, ALMPs functioned primarily as alternatives to market employment
- **Activation turn (mid-1990s onward)**: With improved economic conditions, ALMPs emphasized employment assistance and reinforcement of work incentives, with declining emphasis on training

D. Welfare Design, Institutional Trust, and Political Legitimacy

1. Visibility and Salience

The visibility and salience of welfare policies significantly affect their political impact. Bergman (2023) observes: "More 'visible' welfare states and labour market interventions shape the overall salience of social programmes (Gingrich, 2014). Voters tending towards PRRP might then be strongly primed by observations of a policy they tend to disfavour."

Crescenzi's research on EU funds demonstrates that "EU funds only build support for the EU when they generate tangible benefits that citizens can observe in their daily lives. They suggest that voters respond to concrete improvements in their local economic environment rather than to the abstract idea of receiving EU support."

A study on Italian structural funds found: "These results suggest that economic aids alleviate somehow the potential populist voter so that he/she refrains from express his/her protest at

polls."

2. Procedural Fairness and Political Trust

Research shows that procedural fairness significantly influences how welfare experiences translate into political attitudes. De Blok and Kumlin (2022) find: "Procedural fairness theory was introduced as a counterargument to output-oriented theories. It predicts that people care about the decision-making and implementation process preceding the output. This approach can help explain why citizens accept decisions, even though they do not benefit directly from them or otherwise assess outcomes as dissatisfactory."

They identify a critical interaction: "One common assumption is that citizens are first and foremost result-oriented but that fair procedures, as it were, soften the blow of not getting one's desired outcome. Conversely, procedures perceived as unfair exacerbate the harmful influence of output dissatisfaction. Under this view, then, procedural fairness makes a larger difference for output 'losers' than for 'winners', that is, those who are satisfied with the outcome."

3. Reciprocity, Deservingness, and Legitimacy

The perceived legitimacy of welfare institutions depends significantly on their alignment with widely held values about deservingness and reciprocity. Lee explains: "People not only care about whether the welfare system is operating efficiently regarding redistributive measures but also about fairness concerning the deservingness of welfare beneficiaries."

This creates tensions for welfare state legitimacy: "The welfare state has been pointed out as a site where there is tension between welfare and immigration, as immigrants are deemed newcomers and 'lack' contribution to the system based on reciprocity. It often develops into welfare chauvinism that supports social protection but contends that access to welfare services should be limited to native-born citizens."

Van Oorschot and Laenen (2023) identify five key deservingness criteria that shape welfare attitudes: "In general, target groups are considered more deserving if they (a) are not considered personally responsible for their situation ('Control'), (b) adhere to prevailing societal norms and values, such as showing gratitude when help is offered ('Attitude'), (c) make a contribution to our society, in the past, present or future ('Reciprocity'), (d) belong to the dominant social or cultural group with which most people can easily identify ('Identity'), and (e) have severe financial and/or health needs ('Need')."

4. Institutional Trust and Recursive Political Effects

Research reveals potential downward spirals in the relationship between welfare performance and political trust. Haugsgjerd and Kumlin (2020) demonstrate that "The results indeed suggest that political trust is both a consequence and a cause of welfare state evaluations. First, we find that initial levels (t1) of welfare state evaluations affect changes (t1-t2) in political trust. That is, people respond to low levels of welfare state evaluations by becoming less politically trustful."

III. The Power of Perception: Status, Identity, Psychology, and Moral Economy

A. The Primacy of Status: Relative Position, Perceived Loss, and Identity Politics

1. Distinguishing Economic and Status Concerns

Economic insecurity and status anxiety represent distinct mechanisms that can drive political behavior, though they are often interrelated. This distinction is crucial for understanding how different forms of vulnerability translate into political preferences:

As Kurer (2020) explains: "Voters who experience material hardship become dependent on state support and should thus have a strong interest in a generous welfare state to cushion the economic downfall and support their re-entry in the labor market. Voters who primarily suffer from status anxiety are more likely to look for propositions that promise to maintain or reinstall their place in the social hierarchy."

Several scholars emphasize that economic hardship alone may be insufficient to explain support for populist radical right parties (PRRPs). Kurer (2020) argues: "When relative societal decline rather than material hardship are at the heart of socially conservative resentment, traditional welfare policy may be an insufficient response to satisfy exposed workers and hence an ineffective remedy to counter the ascent of right-wing populist movements."

Ciccolini (2025) provides important evidence for this distinction by demonstrating that economic status loss affects political attitudes differently than absolute economic decline: "Hence, we can conclude that, as expected, economic status loss, not a deterioration of material circumstances, explains class alignment to PRR parties."

Economic status is understood as relational rather than absolute: "Because economic resources are at the basis of economic status, but the two concepts do not coincide." This implies that

"economic status is structured as a zero-sum game: Someone's gain in status coincides with someone else's loss. It is thus clear that an improvement in material circumstances does not translate straightforwardly into a gain in economic status."

Kurer et al. (2019) differentiate between levels of and changes in economic grievances: "While structural economic disadvantage (i.e., the level of grievances) unambiguously de-mobilises individuals, the deterioration of economic prospects (i.e., a negative change in economic grievances) instead increases political activity."

Häusermann, Kurer, and Zollinger (2023) elaborate on this distinction, focusing on perceptions of long-term economic opportunity: "We distinguish between relative status and deprivation... Social reference points highlight relative differences in economic hardship between different subgroups of society... Intertemporal comparisons, on the other hand, deliver a very different kind of reference point. Deprivation over time can happen on any level of absolute economic hardship, is much more volatile and potentially affects a much broader and more diverse subset of society."

2. Understanding Status as Positional

Status concerns are fundamentally about relative position rather than absolute condition. Ciccolini offers a clear definition: "I define the latter as the 'relative position' within a social hierarchy in which subjects 'are ordered on an inferiority-superiority scale with respect to the comparative degree to which they possess or embody some socially approved or generally desired attribute or characteristics'" (Ciccolini, 2025: 3, citing Benoit-Smullyan, 1944: 151).

This positional nature creates particular political dynamics: "Individuals tend to think of the status quo—that is, the current distribution of resources among society and the corresponding hierarchy—as justified (for a review, see Jost, Banaji, and Nosek, 2004). This implies that changes in the extant hierarchy represent a deviation from a legitimate order and therefore are seen as unfair, thus spurring a feeling of resentment that is electorally consequential."

Status concerns provide a crucial link between economic changes and cultural reactions. As Ciccolini (2024) notes: "A third strand of scholarship suggests that cultural and economic reasons should not be thought as mutually exclusive: This is because economic transformations may have consequences that are not exclusively financial in nature, which may then explain the success of the PRR."

When individuals worry about their status, they may engage in social distancing behaviors. Im and Komp-Leukkunen (2021) explain that "When individuals worry about status decline, they

may try to maintain their social distance from social groups commonly viewed to be at the bottom of the social ladder to validate their own threatened social position."

Recent research finds that economic decline among historically dominant groups manifests in particular political ways: "Recent research finds that the discontent among historically dominant groups in economic decline manifests politically in forms that reach beyond the political left–right dimension typically at the center of traditional political economy models" (Hemerijck et al., 2023).

3. Economic Status as a Zero-Sum Game

Ciccolini (2022) provides a crucial insight by distinguishing between economic resources and economic status: "I define economic status as the relative position within a social hierarchy ordering subjects on an inferiority-superiority scale with respect to the comparative degree to which they possess economic resources."

A key feature of economic status is its zero-sum nature: "Because a subject's economic status depends on others' resources, the scale of economic status in a society is virtually inexpansible... In laypeople's terms, it is not possible for everyone to get richer and simultaneously acquire more economic status."

This zero-sum quality makes status concerns politically potent, as changes to the status hierarchy are perceived as deviations from a supposedly legitimate order, generating feelings of resentment.

Ciccolini provides strong empirical evidence that economic status loss drives support for populist radical right parties: "The coefficient for positional income change in the logistic regression predicting PRR voting is -0.14 ($p<0.01$), indicating that a one-unit increase in positional income decreases the probability of voting for a PRR party by 14 percentage points."

Importantly, this relationship holds even when controlling for absolute income levels and changes, indicating that relative economic positioning matters more than objective financial circumstances.

4. Social Status and Recognition

Drawing on Gidron and Hall (2017a,b), the importance of social recognition becomes clear in understanding political reactions to economic changes:

"In their BJS article they show that the social status of white, working class men- defined by their levels of education, income, and occupation- has declined for various reasons in the past

twenty years and that this group is the most supportive of populism in the West."

Importantly, Milner notes that these status concerns may transcend purely economic interests, making traditional compensation mechanisms less effective:

"Gidron and Hall (2017b) maintain that people whose social status has fallen and who feel left behind by globalization because they are its unacknowledged 'losers' prefer recognition over redistribution. 'Our analysis suggests that 'compensation' is not what these people are looking for. Voters for right populist parties are not especially strong supporters of redistribution. What distinguishes them from other voters is a feeling that they have not been treated with respect a sense that they are not fully valued members of society. They care as much, or even more, about recognition as about redistribution'" (Gidron and Hall 2017b, p. 26).

This preference for recognition over redistribution helps explain why social welfare spending may be losing its mitigating power and why right-wing populism has become increasingly attractive to working-class voters.

B. Theories of Status Loss and Their Political Manifestations

1. Status Discordance Theory

Status discordance theory examines how unmet status expectations drive political behavior.

Kurer and van Staalduinen (2022) explain: "The analysis reveals that political dissatisfaction is widespread among voters who fall short of intergenerational status expectations. We show that such dissatisfaction is associated with higher abstention rates, less mainstream party support, and more radical voting."

Their research finds that "A one-standard-deviation increase in negative status discordance associated with: 1-2 percentage point increase in abstention, 1-2 percentage point increase in support for radical parties, 3 percentage point decrease in support for mainstream parties."

The magnitude of this effect is significant: "In terms of magnitude, the coefficient of status discordance indicates a larger effect than that of log income and age. This favorable comparison to important and well-known predictors of radical-right voting underscores the importance of expectations in shaping voter behavior."

2. Nostalgic Deprivation

Nostalgic deprivation theory examines how perceived loss of status relative to the past drives support for radical right movements. Gest et al. (2017) hypothesize that "Radical Right support is

the product of a latent psychological phenomenon we call nostalgic deprivation—the discrepancy between individuals' understandings of their current status and their perceptions about their past."

At its core, "Supporters of the Radical Right are consumed by their perceived drop in status."

This connects to Fenger's 'welfare nostalgia' perspective (2018), which "holds that social benefits should be reserved for traditional workers ('modernization losers') based on traditional economic and family patterns at the expense of migrants, women, the self-employed, and temporary workers."

Kurer (2020) observes that what right-wing populist parties offer "is not primarily relief from economic stress but remedies against status anxiety by promoting the values of an idealized past where routine workers were a valued and crucial pillar of society."

3. Gender Differences in Status Effects

Research shows significant gender differences in how status concerns translate into political behavior. Kurer and van Staalduinen (2022) find: "The marginal effect of status discordance is indeed much weaker among women. It is no longer statistically different from zero with respect to the radical right and is virtually zero with respect to the radical left."

They suggest this might be because: "The empowering and emancipatory experience of increasingly equal access to paid employment may moderate political reactions among the individual women who do experience status loss as conceptualized in this article."

Gidron and Hall (2017) note how changing gender roles interact with status perceptions: "Moreover, in a 2008 poll, while a quarter of American men earning more than $60,000 a year agreed with the statement that 'with the rise of women in society and the workplace, men no longer know their role', a third of men earning less than that did so (Kimmel 2009, 2013; Cassino 2016; Jones and Cox 2016). In sum, increases in the social status of women may have induced some decline in the subjective social status of men, especially among those who lack other sources of status."

Their historical analysis shows that "While men without college education had higher status than women without college education in most countries in 1987, by 2014 this gender gap had narrowed or reversed."

4. Status-Based Political Reactions

Status anxiety and perceived relative decline can produce specific political reactions distinct from those generated by material hardship. Kurer (2020) associates "threat and anxiety about status with 'the development of socially conservative or even authoritarian character traits', and threats to the 'perceived value' of some forms of work and those that perform them with increased hostility to groups 'seen as competitors in the social hierarchy', as a means of achieving a relative stabilisation of their own status and value."

Because social status is relative, Im and Komp-Leukkunen (2021) observe that "these workers can shore up their status by 'maintaining their social distance' from other groups and individuals perceived as occupying a lower status in the social order."

Status concerns may even generate opposition to redistribution, contrary to what pure economic self-interest would predict. Ciccolini (2025) finds: "A drop in positional income is associated with further cultural conservatism. More precisely, it fuels hostile attitudes toward migrants, as well as criticism of the European Union [...] I found no association with right-leaning economic orientation. Yet it should be noted that economic status loss boosts opposition to redistribution."

This counterintuitive finding challenges conventional wisdom about economic insecurity automatically leading to support for welfare expansion: "When economic resources are portrayed as a zero-sum game, those facing relative loss would be further harmed by governments bringing relief to the have-nots: This would shift the balance in favor of the latter, further exacerbating voters' fear of ending up in last place."

C. Psychological Underpinnings: Anxiety, Fantasy, Social Integration, and Well-Being

1. Ontological Security and Existential Anxiety

Multiple sources highlight the importance of deeper psychological dimensions of economic vulnerability beyond material concerns and relative status positioning. The concept of "ontological security" - the security of being and having a stable sense of identity - emerges as a critical factor in explaining political responses to economic change.

Browning (2018) defines ontological security as "fundamentally concerned with people's ability to 'go on' with their everyday lives without slipping into melancholic or psychotic states."

Metten and Bayerlein expand this concept to identify two key dimensions of "existential anxiety" (their adaptation of ontological insecurity):

"Taking into account the early and later receptions of ontological security, two analytical dimensions emerge that constitute this interaction. First, an intersubjective or exogenous dimension, where individuals 'are concerned with maintaining a consistent notion of self to enhance their ontological security with other[s]'... Second, an intra-subjective or endogenous dimension, in which the state serves 'as a provider of ontological security for its citizens'" (Metten and Bayerlein, p. 7)

Several researchers identify globalization, automation, and rapid social change as sources of ontological insecurity. According to Metten and Bayerlein:

"The perceived disruption of the traditional order, the impression of chaos, and the threat of the 'other' links the concept of ontological insecurity to globalisation processes, as globalisation 'challenges simple definitions of who we are and where we come from'" (Metten and Bayerlein, p. 6)

Browning (2018) similarly argues that Brexit was a response to ontological insecurities generated by rapid social and economic changes:

"For McKenzie (2017: 277) the post-referendum popularisation of the term the 'left behind' utterly 'misunderstands and underestimates the depth and intensity of the devastation that has been experienced by working-class people, their communities and their identities for over 30 years'." (Browning, 2018, p. 11)

2. Fantasy and Fulfillment

Populist politics operates through fantasies that promise fulfillment and the restoration of control. Browning (2018) argues: "The paper argues that while the promise of closure central to populist fantasies that have underpinned much of the politics of Brexit has been emotionally seductive and politically mobilising it is also fundamentally problematic, offering impossible promises of fulfilment that may therefore only end up further enhancing feelings of disillusionment, alienation and ontological anxiety amongst those to whom they appeal."

These fantasies are not simply delusions but serve important psychological functions: "Such fantasies are not 'unreal' – as in popular understandings of the word – but rather help 'connect subjects to social orders by arousing desire and channelling it'." (Browning, 2018: 13)

Brexit illustrates how populist fantasies operate in practice: "The Leave campaign was built around a series of (populist) fantasy narratives promising freedom and liberty, sovereignty and control, subjectivity and agency that tapped into signifiers embedded within national narratives of self-identity." (Browning, 2018: 16)

When these fantasies fail to deliver, blame is redirected: "If Brexit 'fails', if we cannot 'have our cake and eat it', it will not be because Brexit was ultimately invested with impossible dreams, but because it was thwarted by saboteurs." (Browning, 2018: 25)

3. Social Integration and Well-Being

A growing theoretical perspective examines how economic vulnerability affects subjective well-being and life satisfaction, which in turn influence political attitudes.

Lindholm and Rapeli (2023) explore how general life satisfaction relates to populist and nativist attitudes: "The broader notion of self-centered discontent, that is, life dissatisfaction, has received very little attention. This is a remarkable gap in the literature since people may not be able to identify the exact reason why they are dissatisfied or not feeling well." (Lindholm and Rapeli, 2023, p. 465)

Their findings show that lower subjective well-being is associated with populist attitudes even after controlling for demographic factors, socioeconomic status, and political opinions: "The (standardized) relationship between life dissatisfaction and populist attitudes is stronger than the influence of societal economic discontent." (Lindholm and Rapeli, 2023, p. 474)

Lindholm and Rapeli propose several mechanisms connecting low subjective well-being to populist attitudes:

1. **Utility mechanism**: Low subjective well-being serves as a signal that the status quo is undesirable, making citizens more receptive to populist calls for change.
2. **Emotional mechanism**: Negative states make people more open to changing their political predispositions.
3. **Social identity mechanism**: Low subjective well-being promotes in-group/out-group thinking and blame attribution.

This well-being perspective connects to Hemerijck et al.'s (2023) approach to welfare policy that emphasizes capabilities and quality of life: "From the perspective of political theory, there is a striking normative connection between social investment and the Nobel laureate Amartya Sen's 'capability approach' with its strong emphasis on 'human flourishing', development and autonomy, signalling a shift from the Beveridgean notion of 'freedom from want' towards 'freedom to act'." (Hemerijck et al., 2023, p.489)

4. Emotions as Mediators of Economic Vulnerability

Research increasingly recognizes emotions as crucial mediators between economic conditions and political attitudes, with particular attention to anger, anxiety, and fear.

Rhodes-Purdy et al. (2021) emphasize the role of anger as particularly relevant for populist attitudes: "Unlike fear, anger is generally seen as an 'approach' emotion, causing citizens to participate in politics; it also leads individuals to rely more heavily on their pre-existing beliefs, rather than seek out new information. Anger encourages individuals to punish those they deem responsible for wrongdoing as anger is commonly rooted in perceptions of intentional wrongdoing or unfairness."

They further note that "Additionally, angry individuals tend to interpret all undesirable events in their environment as resulting from intentional wrongdoing and have an increased desire to punish anyone whose conduct they disapprove of. Studies have found that anger increases or activates negative attitudes towards cultural outgroups or can increase the salience of racial identities among privileged groups, which can in turn cause resentment toward marginalized outgroups."

Auer and Freitag (2023) find that responsibility attribution determines when anger undermines political support: "As a specifically moral emotion, anger is linked to the condemnation of the alleged perpetrator(s) of a threat-induced norm violation and to punitive attitudes and behaviors toward them." They note that "The typical episode of anger involves an attribution of responsibility."

D. Identity, Deservingness, and Moral Economy: Social Group Dynamics in Welfare Attitudes

1. Othering as a Response to Welfare Stigma

An essential theoretical mechanism connecting economic change to political attitudes involves social distancing or "othering" – the process by which individuals seek to maintain status by differentiating themselves from lower-status groups.

Van Hootegem (2023) describes this psychological process: "'Othering', sometimes referred to as self-group distancing, encompasses a process whereby individuals increasingly differentiate and demarcate between groups, and distance themselves ('the deserving') from those with a similar social status who are considered to be immoral and undeserving of acquiring public resources."

Patrick's (2016) research demonstrates how welfare recipients often engage in "othering" as a response to stigma, distancing themselves from other benefit claimants perceived as less

deserving:

"While there were some signs of resistance to the dominant 'scrounger' narrative, what was most notable in this research was the 'othering' in which so many of the participants engaged, where they shored up their own deservingness to benefits via a critique of some 'other' deemed less deserving and whose behaviour was characterised as more problematic."

This othering reinforces rather than challenges the dominant negative narrative: "Through their engagement in 'othering', itself a response to the 'othering' they experience as members of a stigmatised and presumed deficit population, out-of-work benefit claimants are themselves re-circulating and extending the reach of the 'scrounger' narrative. As the 'othered' also 'other', the framing consensus on 'welfare' is further embedded and strengthened, in ways that reduce scope for an alternative narrative or solidaristic challenge to the status quo" (Patrick, 2016).

Patrick interprets this behavior as a defensive form of citizenship engagement: "Arguably, this 'othering' is best understood as an admittedly defensive form of citizenship engagement (Ellison, 2000) and claim-making, which sees claimants make use of the dominant narrative as a discursive resource (Fohrbeck et al, 2014) that can be deployed to shore up their own deservingness and entitlement to social welfare."

2. Last-Place Aversion and "Kicking Down" Mechanisms

A related theoretical perspective examines how people avoid identifying with lower-status groups:

"In contrast to what simple 'winner/loser' dichotomies suggest, this literature often discusses conservative-authoritarian voters as being 'a few rungs up' from the bottom of the social ladder, with last-place-aversion in fact making them prone to emphasizing and legitimizing hierarchies of various types towards the lowest-placed (income, ethnic, etc.) groups in society." (Häusermann et al., 2023: 15)

This can lead to what scholars call "kicking down" on those perceived as below oneself:

"The study finds strong evidence for the 'kicking down' mechanism, where welfare recipients who experience exclusion or misrecognition often justify their own deservingness by blaming groups perceived as less deserving ('exclude them – rather than me'). These recipients apply the same deservingness criteria to others that they feel the state has unfairly applied to them." (Wagner, 2022: 3)

The motivation appears to be maintaining positive self-image: "While 'kicking down' is the most common reaction among the manual workers in the data set, some interviewees react inversely

by challenging the norms enacted by the state and proposing categorically different norms, including solidaristic and universalistic visions of welfare access." (Wagner, 2022: 3)

3. Identification and Deservingness Perceptions

An alternative theoretical mechanism focuses on identification with similar others. Van Hootegem (2024) explains: "The identification perspective predicts that the closer people move towards the situation of the concerned groups, the less they will perceive abuse due to an increased capacity to put themselves in their shoes."

This identification can affect perceptions of welfare deservingness: "When people's objective positions make them belong to certain groups or at least occupy a more similar status, they can start to identify with these groups as a type of self-serving bias that gives their own situation more meaning and a sense of belonging. According to social identity theory, this identification then leads individuals to attribute more positive characteristics to the groups they belong to." (Van Hootegem, 2024: 232)

Research on deservingness theory offers a structured framework for understanding these judgments. Van Oorschot and Laenen (2023) identify the CARIN criteria:

"The core components: the CARIN criteria. The first criterion, control, is about the perceived degree of personal responsibility welfare claimants have for being in the situation they are in... The second criterion, attitude, refers to a broader collection of norm-conforming attitudes and behaviours, such as people's gratitude, docility, compliance, honesty and pleasantness. The third criterion, reciprocity, relates to perceived contributions to society claimants make (either in the past, present or future), such as paid work, tax payments, caring responsibilities and job-seeking efforts. The fourth criterion, identity, has to do with feelings of similarity, proximity and cultural closeness between those judging the deservingness and those being judged... The fifth criterion, need, refers to the perceived financial destitution and/or poor health status of those seeking help." (Van Oorschot and Laenen, 2023: 6)

4. Moral Economy and Fairness Perceptions

A growing theoretical perspective examines how perceptions of fairness and justice shape political responses to economic vulnerability:

"In producerism, wealth and social justice are not solely material entities but also depend on how individuals perceive and experience practices, objects, political causes and their interactions with others. This links producerism with the concept of 'moral economy', which has been extensively discussed in social sciences and, more recently, in political science." (Guery et al., 2023: 21)

Fairness perceptions have important implications for redistributive politics. Guery et al. explain: "Fairness, the authors explain, stipulates that the rewards from cooperation should be principally divided according to individual contribution. When someone violates the fairness rule for their own benefit, they are considered a 'cheater', often with commensurately severe consequences." (Guery et al., 2023: 21)

Research suggests that fairness concerns, particularly procedural fairness, may be especially important for those who perceive themselves as "losers" in economic processes: "We predict that procedural fairness matters more for 'losers' (their primary hypothesis): 'One common assumption is that citizens are first and foremost result-oriented but that fair procedures, as it were, soften the blow of not getting one's desired outcome. Conversely, procedures perceived as unfair exacerbate the harmful influence of output dissatisfaction. Under this view, then, procedural fairness makes a larger difference for output 'losers' than for 'winners', that is, those who are satisfied with the outcome.'" (de Blok and Kumlin, 2022: 872)

E. Social Learning, Status Perception, and Inequality Legitimation

1. The Paradox of Inequality

Mijs (2021) articulates a paradox of inequality wherein increased inequality creates the social conditions for its legitimation:

"People underestimate the structural forces that make for inequality because they are increasingly unable to see it from their (isolated) position at the bottom or top of their (segregated) society. Without direct experiences, news reporting and statistics about (growing) inequality are not likely to change people's perspectives, nor lead them to develop empathy for the plight of unseen others living across the income divide." (Mijs, 2021: 22)

This occurs through social insulation that limits exposure to structural barriers:

"Growing levels of income inequality mean that experiences and interactions with people across income, wealth and racial fault lines are becoming more seldom. Research suggests that income inequality creates greater spatial and social distance between the wealthy and the poor, as they live their lives in different institutions." (Mijs, 2021: 22)

"Consequently, I argue, people on either side of the income divide are unable to see the breadth of the gap that separates their lives from those of others: as the gap grows larger, other people's lives fade out of view." (Mijs, 2021: 22)

2. Meritocratic Beliefs and System Justification

Belief systems that legitimize inequality become more prevalent as inequality increases:

"Income inequality is accompanied by popular beliefs that dampen citizens' concerns by legitimating the growing income gap as meritocratically deserved." (Mijs, 2021: 23)

"I hypothesize that citizens' consent to inequality can be explained by their belief that inequalities reflect the legitimate accomplishments of hard work rather than the operation of ('unfair') structural forces beyond their control." (Mijs, 2021: 22)

"The 'belief in a just world' perspective posits a universal tendency to believe that inequalities reflect a meritocratic process, this allows people to maintain their belief that they live in a fair world rather than having to address inequities." (Mijs, 2021: 21)

Meritocratic beliefs mediate how people respond to economic changes:

> "We suggest that individuals holding particular underlying values are more responsive to elite rhetoric on unfair trade policy and adopt negative attitudes toward globalization as a consequence. Meritocrats are people who ascribe to a core principle of fairness; as long as markets are 'fair,' meritocrats believe individual hard work and effort will be justly rewarded with social mobility." (Ballard-Rosa, Goldstein, & Rudra, 2024)

These beliefs create particular vulnerabilities to certain political messages:

> "For meritocrats, the elite frame of trade as allowing 'unfair market access,' often to less deserving 'outsiders' (e.g., workers in China, India, Japan), effectively places foreign commerce into the same category as welfare and affirmative action." (Ballard-Rosa, Goldstein, & Rudra, 2024)

3. Cultural Narratives and Elite Justifications

Elite actors actively promote narratives that legitimize inequality:

"Throughout the West, we find a striking convergence in citizens' views of success: in the most recent surveys, at least two-thirds of citizens in all countries—and as much as 95% of Americans—attribute success to meritocratic factors." (Mijs, 2021: 20)

"In addition, positions of left-wing parties and politicians may have contributed to this pattern. The welfare retrenchment that occurred across the west in recent decades was initiated by liberal and conservative governments, but left-wing governments have also engaged in welfare retrenchment (Finseraas and Vernby 2011)." (Mijs, 2021: 26)

F. Addressing Non-Material Concerns: Status, Dignity, and Recognition in Policy

1. The Human Dignity Framework

A theoretically coherent approach to welfare policy may require centering human dignity. Vlandas and Halikiopoulou (2022) suggest:

"Instead of adopting defensive, accommodative or solely adversarial strategies that centre on immigration, therefore, we need a positive and proactive message that centres on empowerment through equality and social protection and offers mitigation and compensation to the 'peripherals'. This will not deter everyone from voting for the far-right. But it will significantly hamper the far-right's large mobilizational potential."

Dignity-affirming implementation is crucial. Wagner's (2023) research provides direct evidence for these implementation effects, demonstrating that reforms emphasizing conditionality and sanctions "may have spurred fears of entitlement loss and of social exclusion among recipients," while social investment policies that "provide active resources enabling recipients to improve their human capital, labor market position, and generally their capacity to socially participate... can lead to experiences of social inclusion." This distinction underscores the importance of dignity-affirming implementation in determining welfare policies' political effects.

The experience of respect and validation appears more fundamental than material benefits alone:

"We believe that this appeal to personal dignity is key to winning routine workers' support. Perhaps even more than social protection, they demand economic and cultural protection. They feel attracted by promises to re-establish the values of a bygone era of a more homogenous demography, more rigid hierarchies and an economic system that protects domestic workers" (Kurer and Palier, 2019: 4).

2. Material vs. Relational Dimensions

Welfare institutions operate through both material transfers and relational dimensions that affect citizens' experiences.

Gidron and Hall (2018) argue: "If compensation comes in the form of social benefits, our analysis suggests that this may not be enough to assuage voters drawn to radical parties. Radical right voters are not especially strong supporters of redistribution. What distinguishes them from voters for mainstream parties are concerns about recognition – the feeling that they have been pushed from the mainstream to the margins of society – and having a decent job is central to being in that mainstream."

They further observe: "We suspect that many people want well-paid jobs and a secure place in vibrant communities more than they want social benefits or social reassurance."

Employment provides more than income: "A decent job has always been central to effective social integration and there is no symbolic substitute for it." Work is central to social status: "People's subjective social status is closely associated with their employment status, their skill level and the quality of their jobs."

3. The "Distributive versus Recognitive" Tension

A recurring theme across the research is the tension between distributive (material) and recognitive (status/identity) responses to economic vulnerability. Kurer (2020) frames this tension:

"When relative societal decline rather than material hardship are at the heart of socially conservative resentment, traditional welfare policy may be an insufficient response to satisfy exposed workers and hence an ineffective remedy to counter the ascent of right-wing populist movements" (Kurer, 2020, p.1801)

Similarly, Gidron and Hall (2018) note:

"If compensation comes in the form of social benefits, our analysis suggests that this may not be enough to assuage voters drawn to radical parties. Radical right voters are not especially strong supporters of redistribution. What distinguishes them from voters for mainstream parties are concerns about recognition – the feeling that they have been pushed from the mainstream to the margins of society – and having a decent job is central to being in that mainstream." (Gidron and Hall, 2018, p.2-3)

4. Wage Buyouts and Non-Work Compensation

Research on "wage buyouts" reveals resistance to compensation even when economically beneficial. Pelc (2025) finds: "Overall, a sizeable portion of workers are resistant to being freed from work. Strikingly, individuals are more willing to reduce their work hours by half than to cease work entirely, even when offered full compensation."

The source of compensation matters substantially: "Program design matters: respondents are significantly more likely to accept compensation from their former employer than from the government." The findings show that "Being told that the check is coming from government significantly reduces favorability towards the scheme, with an average of 6.39 on the 0-10 scale. Being told that the check is coming from a former employer significantly increases approval, with an average approval of 7.07."

Religious factors also influence attitudes toward non-work: "By contrast, Protestantism is consistently associated with reluctance to cease work under both schemes. Protestants are also significantly more negatively disposed to the government scheme than to the lottery windfall, yet perhaps most striking is that Protestant religious affiliation appears as the strongest predictor of the decision to (not) cease work following a lottery windfall."

IV. The Social Investment Paradigm: A Proactive Approach to Welfare and Empowerment

A. Conceptual Foundations: Capabilities, Freedom, Human Flourishing, and Long-Term Returns

1. The Capabilities Approach

The capabilities approach, associated with Amartya Sen's work, provides a foundational framework for the social investment paradigm. As Nicaise (2021) explains:

"One of the novelties of Sen's theory of capabilities is the explicit link between freedom and welfare. Persons with the same level of functioning(s), but with unequal freedom, have a different degree of welfare, because the 'capability' of the less free persons (i.e. the set of functionings that are feasible for them) is more restricted than the capability of the more free persons." (Nicaise, 2021, p. 227)

Hemerijck et al. (2023) highlight the connection between social investment and the capabilities approach:

"From the perspective of political theory, there is a striking normative connection between social investment and the Nobel laureate Amartya Sen's 'capability approach' with its strong emphasis on 'human flourishing', development and autonomy, signalling a shift from the Beveridgean notion of 'freedom from want' towards 'freedom to act'." (Hemerijck et al., 2023, p.489)

This approach moves beyond material outcomes to emphasize freedom and agency as essential components of welfare.

2. Human Capital Development as Long-Term Investment

Social investment is fundamentally oriented toward long-term returns through human capital development. Nicaise (2021) defines this approach as "investing in people' (as opposed to financial or material investments): the

Nicaise (2021) defines social investment as "'investing in people' (as opposed to financial or material investments): the common feature to all forms of investment is that costs are incurred in the short and medium term, with a view to yielding returns in the longer term." (Nicaise, 2021, p. 227)

This orientation contrasts with traditional welfare approaches focused primarily on short-term income maintenance. Bonoli (2013) highlights that the social investment approach "often emphasizes upskilling, enabling human capital development, and removing obstacles to labor market participation" over short-term benefits.

3. Proactive versus Reactive Orientation

A key distinguishing feature of the social investment paradigm is its proactive rather than reactive orientation. Malo (2020) defines proactive policies as those "not necessarily designed to react to a specific problem at a given moment in the short term, but to potentially pre-empt a wide range of problems or imbalances caused by economic shocks or other sources of unexpected changes."

Busemeyer and Garritzmann (2017) contrast this approach with traditional welfare measures: "Rather than demanding compensation for globalization-related income losses ex post, individuals in open economies are more likely to demand educational investments in order to avoid unemployment ex ante by demanding increased skill-investments."

This proactive stance is evident in preferences for "skill-investment" over "compensation through transfer payments" as a way to manage labor market risks: "Hence, skill-investment might be preferred as an effective insurance policy against labor market risk compared to ex-post compensation through transfer payments." (Busemeyer & Garritzmann, 2017: 4)

4. Freedom and Autonomy in Social Policy Design

The social investment paradigm emphasizes freedom and autonomy in policy design. Nicaise (2021) demonstrates how successful programs maximize participant agency:

"The degree of autonomy, choice and participation is maximised in all dimensions of the [Scène Active] project: participation is completely voluntary, and the youngsters can in principle opt out at any moment if they want. Participants negotiate the rules of the project with the director." (Nicaise, 2021, p. 235)

This focus on autonomy is not merely a philosophical preference but has practical implications for program effectiveness. Research suggests that programs emphasizing participant choice and voice tend to produce better outcomes and stronger political support.

B. Reconciling Material Support with Status Preservation, Dignity, and Agency

1. Combining Economic Security with Status Recognition

The social investment paradigm offers potential reconciliation of material compensation and status recognition requirements. While Gingrich (2019) and Kurer (2020) identified the limitations of purely compensatory approaches for addressing status anxiety, social investment potentially addresses both dimensions.

Nicaise's (2021) research finds that social investment programs that emphasize autonomy and dignity can produce positive outcomes in terms of both human capital development and subjective well-being. These programs address material needs through skill development while simultaneously respecting participants' agency and status through their implementation approach.

This multi-dimensional approach may help explain why certain welfare designs generate stronger political support than others. Programs that combine material assistance with recognition of dignity and status may avoid triggering the defensive "othering" responses documented by Patrick (2016) and Van Hootegem (2023).

2. Human Dignity and Welfare Design

Human dignity emerges as a crucial mediating concept between material support and status recognition. Wagner (2023) documents how welfare reforms emphasizing conditionality and sanctions "may have spurred fears of entitlement loss and of social exclusion among recipients," while social investment approaches that "provide active resources enabling recipients to improve their human capital, labor market position, and generally their capacity to socially participate" tend to foster experiences of social inclusion.

The concept of dignity connects material deprivation with status concerns. Pelc's (2025) research on wage buyouts shows that the source and framing of compensation matter significantly, indicating that people care not just about income levels but about how support is provided and what it signifies about their social position.

3. Procedural Justice and Implementation Quality

How policies are implemented proves crucial for reconciling material support with status recognition. De Blok and Kumlin (2022) emphasize the importance of procedural justice: "Procedural fairness theory was introduced as a counterargument to output-oriented theories. It predicts that people care about the decision-making and implementation process preceding the output. This approach can help explain why citizens accept decisions, even though they do not benefit directly from them or otherwise assess outcomes as dissatisfactory."

Malo (2020) similarly identifies implementation quality as essential for effective labor market policies: "Policy implementation is found to be a key issue that has an impact on the efficacy of specific ALMPs and their aggregate impacts, and on the effects of the integrated approach between ALMPs and income support policies."

4. Capabilities Enhancement versus Conditionality

A key theoretical distinction emerges between welfare approaches that enhance capabilities versus those that impose conditionality. Heins (2023) observes that "While 'enabling' types of ALMP focusing on human capital development and programmes that emulate regular employment seem to have mainly wellbeing-enhancing effects, 'employment assistance' types of ALMP or those that do not take into account personal circumstances such as lone parenthood have no or even negative wellbeing effects."

The negative impacts of punitive conditionality are significant: "The evidence on benefit sanctions and welfare conditionality is more unanimous, showing clear negative effects on wellbeing... The increased stigmatisation of the unemployed in a punitive activation context might be creating a 'culture of self-blame' that could lead to even more stress in the life of ALMP participants." (Heins, 2023: 516)

C. Multidimensional Evaluation of Welfare Outcomes Beyond Material Indicators

1. Subjective Well-Being as a Welfare Outcome

The social investment paradigm emphasizes subjective well-being alongside material outcomes. Hemerijck et al. (2023) argue for a multidimensional approach to evaluating welfare outcomes:

"Responding to the call of a number of scholars and international organizations to go beyond material conditions when measuring social policy outcomes... 21st century social investment research should take the subjective capabilities dimension on board as a litmus test of the 'goodness of fit' of social investment for well-being progress" (Hemerijck et al., 2023, p.489)

This parallels findings from status politics research about the importance of subjective perceptions of social standing, alongside objective material conditions.

2. Quality of Employment Beyond Job Creation

Employment quality emerges as a crucial dimension beyond simple job creation. Heins (2023) emphasizes: "The quality of employment, not just quantity, is crucial for wellbeing... 'Getting people off benefits and into low-paid, insecure and health-damaging work is not a desirable option' (Marmot, 2010)." (Heins, 2023: 518)

Gidron and Hall (2018) similarly note that "having a decent job is central to being in the mainstream" and that work quality significantly impacts subjective social status. This suggests that labor market policies should aim for quality employment, not just reduced unemployment statistics.

3. Social Inclusion and Participation

The social investment paradigm emphasizes social inclusion and participation as key welfare outcomes. Mettler (2002) describes how certain welfare policies lead to "inclusion effects" including "increased levels of social and public participation." This connects to Gidron and Hall's (2018) concept of social integration as a critical dimension of well-being.

Wagner (2023) highlights how social investment policies can promote social inclusion by providing "active resources enabling recipients to improve their human capital, labor market position, and generally their capacity to socially participate." This contrasts with welfare approaches that inadvertently promote social exclusion through stigmatizing implementation.

4. Capabilities and Freedom

The capabilities approach provides a theoretical framework for multidimensional welfare evaluation. Nicaise (2021) explains that "employability was defined as one dimension of human capabilities; and social investment as a strategy to extend human capabilities with the aim of implementing fundamental rights."

This approach recognizes that welfare outcomes extend beyond material sufficiency to include freedom, agency, and the ability to pursue various life paths. It addresses both material needs and status concerns by focusing on expanding the range of possibilities available to individuals.

D. Historical Evolution and Contemporary Challenges to Social Investment Implementation

1. Historical Development of Social Investment Approaches

Bonoli's (2013) historical analysis reveals counter-intuitive findings about the evolution of social investment. Contrary to common assumptions about progressive development over time, his research shows that "the social investment orientation of policy is not a recent phenomenon. On the contrary the notion that labour market policy should increase the re-employment chances of jobless people by investing in their human capital was probably stronger in the 1950s and 1960s than today, at least in those countries that intervened in this field (most notably Sweden)." (Bonoli, 2013, p. 200)

This historical trajectory reveals how economic conditions, rather than welfare regime types, have primarily driven the design of active labor market policies:

- **Post-war years (1950s-1960s)**: During economic growth and labor shortages, countries developed ALMPs focused on upskilling (strongest social investment orientation)
- **Employment crisis (mid-1970s to mid-1990s)**: During sluggish growth and industrial restructuring, ALMPs functioned primarily as alternatives to market employment
- **Activation turn (mid-1990s onward)**: With improved economic conditions, ALMPs emphasized employment assistance and reinforcement of work incentives, with declining emphasis on training

2. Contemporary Implementation Challenges

Several challenges confront contemporary social investment implementation. Bonoli (2013) identifies several obstacles:

- Funding constraints in contexts of "permanent austerity" limiting the ability to finance extensive vocational training.
- Greater skill gaps between today's unemployed and employers' requirements compared to the past.

- Path dependency creating entrenched expectations among beneficiaries.
- Institutional barriers to reform in some countries (role of social partners, fragmented governance).

Malo (2020) emphasizes implementation challenges: "Policy implementation is found to be a key issue that has an impact on the efficacy of specific ALMPs and their aggregate impacts, and on the effects of the integrated approach between ALMPs and income support policies." (Malo, 2020, p. 1)

3. Competing Paradigms and Ideological Tensions

Nicaise (2021) contrasts three competing paradigms of active labor market policies that reflect different normative approaches to welfare:

1. **Neoliberal "making work pay" approach**: "Neoliberal 'making work pay' policies are largely based on the assumption that individual behaviour can be 'steered' by financial incentives." (Nicaise, 2021, p. 223)
2. **Conservative "workfare" approach**: Emphasizes that a "stronger work ethos needs to be inculcated through reduced rights and more duties." (Nicaise, 2021, p. 221)
3. **Social investment approach**: "[E]mployability was defined as one dimension of human capabilities; and social investment as a strategy to extend human capabilities with the aim of implementing fundamental rights." (Nicaise, 2021, p. 227)

These competing paradigms reflect broader ideological tensions about the proper role of the state, the nature of individual responsibility, and the foundations of social solidarity.

4. Evidence on Effectiveness and Political Viability

Research presents a mixed picture of social investment effectiveness. Nicaise (2021) challenges orthodox economic assumptions: "At country level, a slight positive correlation was found between the coverage rate of job seekers by unemployment benefits and the rate of re-entry into work – even after controlling for other determinants. Likewise, a positive correlation was found between the replacement rate (in unemployment benefits) and the probability of re-entry into work." (Nicaise, 2021, p. 223)

Some evidence supports the political viability of social investment approaches. Busemeyer and Garritzmann (2017) find that "Rather than demanding compensation for globalization-related income losses ex post, individuals in open economies are more likely to demand educational

investments in order to avoid unemployment ex ante by demanding increased skill-investments." This suggests potential citizen support for proactive approaches.

E. Voter Preferences: Predistribution, Skill Investment, and Program Design

1. Predistribution vs. Redistribution Preferences

Recent research distinguishes between preferences for different types of redistributive policies. Kuziemko, Longuet-Marx, & Naidu (2023) find: "Less-educated Americans differentially demand 'predistribution' policies (e.g., a federal jobs guarantee, higher minimum wages, protectionism, and stronger unions), while more-educated Americans differentially favor redistribution (taxes and transfers)."

This distinction highlights how different social groups may favor fundamentally different approaches to addressing inequality: "We thus uncover a new and durable educational cleavage over pre- versus post-fiscal dimensions of egalitarian policies. Second, we focus on the parties' supply of economic policies and show that since the mid-1970s, the Democrats have moved away from the preferences of less-educated voters." (Kuziemko, Longuet-Marx, & Naidu, 2023)

2. Skill Investment Preferences

Research indicates popular support for skill investment approaches. Busemeyer and Garritzmann (2017) find that "Whereas unemployment insurance offers compensation for the negative side effects of globalization ex-post, we find it much more likely that individuals might favor a more pro-active approach of insuring against trade-induced labor market risks by means of human capital investments."

This preference might reflect judgments about long-term effectiveness: "Hence, skill-investment might be preferred as an effective insurance policy against labor market risk compared to ex-post compensation through transfer payments." (Busemeyer and Garritzmann, 2017: 4)

3. Program Design Preferences

Research shows that program design features significantly influence public support for welfare policies. Pelc (2025) finds: "Program design matters significantly: respondents prefer compensation from employers over government and partial hour reductions over complete work cessation."

Heins (2023) identifies significant differences in well-being effects between program types: "Recipients of wage subsidies and those in subsidised self-employment – who are thus gaining actual work experience – show significantly enhanced wellbeing while those in training programmes – which in theory should increase future job prospects but in practice might not – show a smaller increase."

Wagner (2023) finds that social investment approaches generate more solidaristic attitudes among recipients: "Evidence for the 'solidarization' mechanism is limited but present in a small number of cases, where recipients who had positive experiences with social investment policies expressed more inclusive welfare attitudes and explicitly connected their positive experiences to their support for others receiving similar opportunities."

4. Trust in Government and Policy Preferences

Trust in government plays a central role in shaping policy preferences. Stantcheva (2021) notes: "Lack of trust in or perceived inefficiency of government, captured by a smaller γ, will lead to lower desired tax rates because the respondent believes that a larger share of revenues will be wasted or dissipated."

Low trust limits support for redistributive policies: "We present evidence that extreme distrust of government appears to explain part of this null effect. First, trust in government is very low in our sample, as it currently is among Americans more generally. Second, many of our treatments appear to further reduce this already low level of trust. Third, and most novel relative to the literature, we show that decreasing trust has a causal effect on diminishing support for redistribution." (Kuziemko et al., 2015: 1505)

This affects which policies people are willing to support: "The treatment significantly lowers support for all poverty-alleviation policies, with the exception, interestingly, of the minimum wage—a program that does not involve direct transfers from the government." (Kuziemko et al., 2015: 1481)

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V. Political Responses: Understanding Populism and its Drivers

A. Conceptualizing Populism

1. Ideational Approach to Populism

A dominant theoretical approach conceptualizes populism as a set of ideas rather than a specific organizational form. As Rhodes-Purdy et al. (2021) explain, the ideational approach to populism "conceptualizes it as a 'thin-centered' ideology or discourse emphasizing a Manichean moral conflict between elites and 'the people.' This approach, associated with scholars like Cas Mudde and Cristóbal Rovira Kaltwasser, focuses on populism as a set of ideas that can exist with or without personalistic leadership." (Rhodes-Purdy et al., 2021: 5)

This approach identifies key elements of populist ideology: "According to this theory, populism has three key dimensions: anti-elitism (the belief that elites are corrupt and self-serving), people-

centrism (the belief in the virtue and primacy of 'the people'), and Manichaeism (a black-and-white worldview that divides society into good and evil). The ideational approach views populism as attaching itself to various 'host ideologies' (left, right, etc.) depending on context." (Rhodes-Purdy et al., 2021: 5)

Research suggests these dimensions may respond differently to various factors: "The authors find that Manichaeism seems to be more of a fixed worldview less influenced by experimental treatments, while anti-elitism and people-centrism are more responsive to emotional and cultural factors." (Rhodes-Purdy et al., 2021: 6)

2. Nostalgic Producerism

Research on "producerism" offers important insights into populist politics. A 2024 study on Producerist Populist Attitudes identifies a key populist distinction between productive and unproductive members of society: "On the one hand, the 'productive members of society', portrayed as 'virtuous' producers and potential victims and, on the other hand, 'parasitical strata both above and below them in the social hierarchy', which include both 'economic and political elites' and 'the poor, unemployed, and those who receive social welfare'" (Guery et al., 2023: 3).

Producerism connects economic concerns with moral judgments: "In producerism, wealth and social justice are not solely material entities but also depend on how individuals perceive and experience practices, objects, political causes and their interactions with others. This links producerism with the concept of 'moral economy', which has been extensively discussed in social sciences and, more recently, in political science" (Guery et al., 2023: 21).

The concept helps explain complex welfare attitudes: "Fairness, the authors explain, stipulates that the rewards from cooperation should be principally divided according to individual contribution... When someone violates the fairness rule for their own benefit, they are considered a 'cheater', often with commensurately severe consequences" (Guery et al., 2023: 21).

3. Welfare Chauvinism and Political Attitudes

Research by Im and Komp-Leukkunen (2021) on support for workfare reveals complex relationships between economic vulnerability and welfare attitudes:

"Status-anxious individuals thus seek to distinguish themselves from these groups to validate themselves. They may hence draw boundaries based on characteristics that allow 'members of other groups to be [seen as] deficient in respect to the criteria they value most'" (Im and Komp-Leukkunen, 2021).

Routine workers facing status threats may support stricter welfare requirements: "We think that unemployed workers may be one social group which status-anxious workers may seek to distinguish themselves from. Unemployed workers are generally viewed unfavourably because employment is frequently considered as a marker of individuals' place in society" (Im and Komp-Leukkunen, 2021).

This helps explain welfare chauvinism: "For automation, most routine workers may find economic concerns less salient than status ones because they manage to avoid unemployment (Kurer, 2020). They may hence support workfare because they prioritise their status concerns" (Im and Komp-Leukkunen, 2021).

4. Particularism versus Universalism

A key theoretical distinction separates particularist and universalist approaches to social justice:

"A first, more rational-choice-based perspective expects a trade-off, with new left voters 'privileged' by economic transformations emphasizing sociocultural inequalities over socioeconomic ones–and vice versa for 'disadvantaged' far right voters. A second, more sociological perspective, predicts attitudes on inequalities to be aligned along a single dimension from new left 'universalists' being inequality-averse to right-wing 'particularists' being more inequality-tolerant." (Häusermann et al., 2023: 3)

This framework helps explain differences in welfare attitudes: "Our findings mostly confirm the expectations of the universalist-particularist framework suggesting the alignment of both socioeconomic and sociocultural inequality concerns: progressive, left voters are more concerned about all types of inequality than conservative and especially radical-right constituencies." (Häusermann et al., 2023: 15)

The universalism-particularism framework has important implications for understanding political alignments: "In such a perspective, the emergence of sociocultural dimensions of inequality on the political agenda has not necessarily crowded out economic inequality, but has extended the 'egalitarian' programme of the 'new left' to novel constituencies and beneficiaries." (Häusermann et al., 2023: 3)

Research suggests this distinction may be fundamental to understanding moral and political frameworks: "Universalism is formalized as the slope of altruism as a function of social distance – a full universalist exhibits altruism that is invariant to social distance, whereas a particularist's altruism decreases with distance." (Enke et al., 2023: 2)

B. Drivers of Populist Support: Integrating Economic, Cultural, Psychological, and Affective Factors

1. Relative Status Decline Theory

A crucial theoretical perspective emphasizes how perceptions of status decline, rather than absolute economic position, shape political attitudes:

"When individuals worry about status decline, they may try to maintain their social distance from social groups commonly viewed to be at the bottom of the social ladder to validate their own threatened social position." (Im and Komp-Leukkunen, 2021: 460)

This status anxiety affects both "winners" and "losers" of economic change: "Jetten, Mols, Healy, and Spears (2017) demonstrated in a series of studies that inequality evokes anxiety and fear among both the poor and the wealthy, albeit for different reasons. Although inequality amplifies perceptions of relative deprivation among the poor, inequality has an equally pernicious effect for those who are relatively wealthy." (Cena, 2022: 421)

Status anxiety may be particularly important for explaining right-wing populism: "Gidron and Hall (2017) show that lower levels of subjective social status are associated with support for the radical right. They trace how the self-perceived status of men without a college education (relative to women) has declined in the past decades due to structural social transformations." (Ares and Häusermann, 2023: 83)

Research suggests that objective economic vulnerability may be less important than subjective status perceptions: "In short, expectations of status decline, not experiences of status decline, drive support for the radical right in Finland." (Im et al., 2023: 132)

2. Last-Place Aversion and "Kicking Down" Mechanisms

A related theoretical perspective examines how people avoid identifying with lower-status groups:

"In contrast to what simple 'winner/loser' dichotomies suggest, this literature often discusses conservative-authoritarian voters as being 'a few rungs up' from the bottom of the social ladder, with last-place-aversion in fact making them prone to emphasizing and legitimizing hierarchies of various types towards the lowest-placed (income, ethnic, etc.) groups in society." (Häusermann et al., 2023: 15)

This can lead to what scholars call "kicking down" on those perceived as below oneself:

"The study finds strong evidence for the 'kicking down' mechanism, where welfare recipients who experience exclusion or misrecognition often justify their own deservingness by blaming groups perceived as less deserving ('exclude them – rather than me'). These recipients apply the same deservingness criteria to others that they feel the state has unfairly applied to them." (Wagner, 2022: 3)

The motivation appears to be maintaining positive self-image: "While 'kicking down' is the most common reaction among the manual workers in the data set, some interviewees react inversely by challenging the norms enacted by the state and proposing categorically different norms, including solidaristic and universalistic visions of welfare access." (Wagner, 2022: 3)

Such "othering" processes appear to be widespread among economically vulnerable populations: "'Othering', sometimes referred to as self-group distancing, encompasses a process whereby individuals increasingly differentiate and demarcate between groups, and distance themselves ('the deserving') from those with a similar social status who are considered to be immoral and undeserving of acquiring public resources." (Van Hootegem, 2024: 232)

3. Identity Switching and Political Behavior

Bonomi et al. (2021) provide a sophisticated theoretical framework explaining how economic and identity factors interact. They model how voters can identify with either economic class or cultural group, with identity switching occurring when the relative salience of different conflicts changes. Their theory predicts that economic shocks disproportionately harming culturally conservative voters can trigger a switch to cultural identity, causing them to demand less redistribution despite their economic interests.

When voters abandon their class identity and redefine themselves in terms of their cultural or moral values, "the latter become more important to explain their beliefs in several domains" (Bonomi et al., 2021: 2373).

This identity switching has significant political consequences: "When identity switches to culture, conflict over q intensifies because cultural beliefs polarize. Conflict over τ is subject to two effects. On the one hand, increased cultural polarization implies more disagreement over the perceived benefits of public spending. On the other hand, dampening class conflicts reduces disagreement over the perceived tax burden" (Bonomi et al., 2021: 2396).

These identity shifts reshape policy preferences: "The switch to cultural identity also causes the cultural factor driving both q and τ to become more potent. Conservative voters increase their opposition to immigration and civil rights and become less favorable to redistribution. Progressive voters move in the opposite direction. As a result, the correlation between the

demand for redistribution and that for open cultural policies increases" (Bonomi et al., 2021: 2396).

4. Misattribution Mechanisms

Research identifies a significant "misattribution" mechanism whereby citizens experiencing economic vulnerability from automation tend to blame other factors like immigration or globalization rather than technological change itself.

Gallego and Kurer (2022) highlight three psychological processes that explain this misattribution:

"First, it may be more psychologically gratifying to attribute economic decline to globalization. Immigration and trade offer clear out-groups to mobilize against (migrants, China), and there are relatively straightforward policies to counteract them (borders, tariffs). Technological change is different. Seeing one's tasks performed by machines can be particularly hard on self-esteem. It may be more difficult psychologically (and practically) to mobilize against nonhumans than against human out-groups." (Gallego and Kurer, 2022: 476)

"Second, and most likely as a consequence of the first reason, political entrepreneurs (especially populist parties) supply discourses against immigration and trade that connect economic grievances to policy solutions. Parties contribute to voters' misattributions by making some explanations more cognitively available than others." (Gallego and Kurer, 2022: 476)

"Third, most likely as a consequence of the first two reasons, citizens are much more likely to encounter everyday examples of globalization (foreign goods, immigrants) than automation, making the former more cognitively available." (Gallego and Kurer, 2022: 476)

This misattribution carries significant policy consequences, as Wu (2022) explains: "If confirmed, the misattribution or diversion hypothesis is relevant not only as a curiosity for study but also because it is likely to lead to harmful policy responses. If people misperceive the source of an economic problem, they are likely to support inadequate remedies, which do not target the root of the problem." (Wu, 2022: 474)

Americans are divided not just in their policy views but in their perception of basic facts:

> "The central thesis of this paper argues that Americans are polarized not only in their policy views and attitudes, but also in their perceptions of factual reality itself. Republicans and Democrats (and particularly Trump vs. non-Trump voters since 2016) view the same objective reality through

> fundamentally different lenses, which in turn shapes their divergent policy preferences." (Alesina et al., 2020)

This extends across many domains, including economic facts:

> "On inequality, 61% of Republicans versus 78% of Democrats correctly believe income inequality has increased in recent decades. Republicans perceive the top 1% as receiving 40% of national income versus 48% perceived by Democrats." (Alesina et al., 2020)

Information is processed differently depending on prior beliefs and partisan identity:

> "Heterogeneous updating to identical information is also shown for attitudes towards the Iraq war in Gaines et al. (2007). Prior, Sood and Khanna (2015) and Bullock et al. (2015) demonstrate that people give 'partisan' answers to factual questions in surveys, but the partisan gap is reduced if monetary incentives are offered for correct answers." (Alesina et al., 2020: 1)

Selective information acquisition contributes to polarized perceptions:

> "When respondents are given the option to pay a randomized amount in order to receive the accurate information about the characteristics of immigrants, respondents who have the most inaccurate (which is equivalent here to the most negative) views of immigrants are less willing to pay for information. In addition, even conditional on the level of misperception and other individual characteristics, Republican respondents are 14% less willing to pay to receive correct information about immigrants." (Alesina et al., 2020: 5)

Information about inequality increases concern but doesn't necessarily change policy preferences:

> "We find that respondents' concern about inequality is very elastic to information: for example, the treatment increases the share agreeing that inequality is a 'very serious problem' by over 35 percent. Put differently, the treatment effect is equal to roughly 36 percent of the gap between self-identified liberals and self-identified conservatives on this question. By contrast, while there are some effects on policy preferences such as top income tax rates, the minimum wage, and food stamps (always in the 'expected' direction), they are small and often insignificant despite the large sample size." (Kuziemko et al., 2015: 1480)

This disconnect between concern and policy support is partly explained by:

> "We find more support for a third explanation, the idea in Bartels (2005) that the public fails to connect concern for inequality with actual public policy measures." (Kuziemko et al., 2015: 1502)

5. Affective Political Economy

Research increasingly recognizes emotions as crucial mediators between economic conditions and political attitudes:

"Our approach, which emphasizes economic antecedents, starts with economic crises or severe economic threat, which generate a great deal of anxiety and anger. The historical proximity of populism to economic calamity suggests that the most hospitable environment for antisystem politics are those in which economic factors drive cultural resentments and populist antagonisms. Our theory then posits that while these feelings encourage support of populism directly, they also provoke cultural discontent, defined as a sense that one's values or identity are not respected in one's social environment. In turn, these feelings of cultural discontent also influence populism." (Rhodes-Purdy et al., 2021: 3)

Different emotions have distinct political effects: "Unlike fear, anger is generally seen as an 'approach' emotion, causing citizens to participate in politics; it also leads individuals to rely more heavily on their pre-existing beliefs, rather than seek out new information." (Rhodes-Purdy et al., 2021: 11)

The context in which emotions are triggered matters: "The authors argue that threat-induced anger is not a universal driver of populist attitudes and declining political support. Instead, two key characteristics of threats determine whether anger will erode democratic attitudes: (1) threat noxiousness (the extent to which a threat violates social norms) and (2) responsibility attribution (whether citizens blame the domestic political system for the threat). The authors contend that anger only undermines political support when both characteristics are present, especially when the political system is perceived as responsible for the threat." (Auer and Freitag, 2023: 1103)

C. Political Realignment: Shifting Cleavages, Identity Switching, and Electoral Consequences

1. Economic-Cultural Cleavages

Contemporary politics is shaped by the interaction of economic and cultural cleavages. Gidron and Hall explain:

"In the context of debates about whether the key causal factors are economic or cultural, we contend that an effective analysis must rest on understanding how economic and cultural developments interact to generate support for populism" (p. S57).

They propose a framework where: "We suggest that one way to do so is to see status anxiety as a proximate factor inducing support for populism, and economic and cultural developments as factors that combine to precipitate such anxiety" (p. S57).

This realignment has restructured traditional voting blocs: "Our evidence might also help solve a puzzle that has informed much of the literature on the radical right in Europe: Why do members of the 'natural' constituencies of left or social-democratic parties (low-skilled manufacturing workers, the unemployed, etc.) vote for radical-right parties?" (p. 937).

2. Identity Switching

Bonomi, Gennaioli, and Tabellini develop a theory of how economic and political shocks can lead to identity switching, where voters shift from class-based to cultural identifications:

"At any given point in time, voters perceive their social and political reality from the vantage point of the most salient group among the many latent ones to which they belong... As political cleavages change, voters switch identity from their income class to their cultural, regional, or racial group" (p. 2406).

This identity switching has significant political consequences: "When identity switches to culture, conflict over q intensifies because cultural beliefs polarize. Conflict over τ is subject to two effects. On the one hand, increased cultural polarization implies more disagreement over the perceived benefits of public spending. On the other hand, dampening class conflicts reduces disagreement over the perceived tax burden" (p. 2396).

These identity shifts reshape policy preferences: "The switch to cultural identity also causes the cultural factor driving both q and τ to become more potent. Conservative voters increase their opposition to immigration and civil rights and become less favorable to redistribution. Progressive voters move in the opposite direction. As a result, the correlation between the demand for redistribution and that for open cultural policies increases" (p. 2396).

3. Electoral Consequences

The political realignment around economic and cultural dimensions has significant electoral consequences. Colantone and Stanig demonstrate how globalization shocks drive electoral realignment:

"A revolt of this magnitude does not happen by accident. Rather, and as we will show in this article, UKIP is the political articulation of deep divides in British society—divides that have been building for decades" (Ford and Goodwin).

Autor et al. found that: "Districts more exposed to import competition experienced significant shifts in their electoral behavior, with an increase in support for conservative Republican candidates, particularly those with more extreme positions."

Party-specific responses to these shifts matter: "Without left-wing progressive policies and narratives, radical-right populists can mobilize dissent through culturally symbolic issues, using the nation as an imagined solidarity community that protects against globalization (Berman and Snegovaya 2019; Scheiring 2020)" (p.12).

These realignments are visible through changes in traditional voting patterns: "The disaggregating the dependent variable provides insight on the important ways that right-wing and left-wing populist constituencies differ. Whereas supporters of right-wing populist parties are more likely to live outside of cities and have no tertiary education, left-wing populist voters are more likely to live in cities and to have completed university studies. And while rightwing populist parties draw support from 'working class' professions such as machinists, craftworkers and service workers, leftwing populist receive support from professionals, unionized workers, and those with vocational degrees" (p.29).

D. Affective Polarization and Its Implications for Democratic Attitudes

1. Dimensions of Affective Polarization

Different dimensions of partisan polarization have different implications for democracy:

"We argue that affective polarization consists of an interrelated set of attitudes a given partisan holds about their own partisan group, their rival partisan group, and the relationship between these groups. Drawing on conceptual work by Finkel et al. (2020), we offer a tripartite conceptualization of affective polarization characterized by three related but distinct dimensions: othering, believing that partisan identity marks fundamental differences between people; aversion, disliking and avoiding out-party members; and moralization, a perception that one's own partisan identity reflects fundamental values." (Campos & Federico, 2025: 1-2)

"We believe that the differences in the subscales leads to one of the most important contributions of this paper: only certain forms of affective polarization are universally associated with attitudes and behaviors that are bad for democratic functioning. Looking only at the relationship between the composite APS and anti-democratic attitudes, one might incorrectly conclude that affective polarization is always bad for democracy." (Campos & Federico, 2025: 16)

2. Blame Attribution and Democratic Attitudes

How responsibility attribution affects political support is crucial. Auer and Freitag (2023) explain:

"We argue that the extent to which threat-induced anger promotes populist attitudes an

"We argue that the extent to which threat-induced anger promotes populist attitudes and erodes political support depends on two key characteristics of threats: first, the threat has to be perceived as noxious, that is, must violate norms and upset social order. Second, and more importantly, (parts of) the political system must be seen as responsible for the threat and its attendant circumstances." (Auer & Freitag, 2023)

Their research finds that "Evidently, among angry respondents, only threats for which the public can hold the domestic political system responsible undermine political support, no matter how diffuse or specific." This suggests that "Even angry citizens overall retain the ability to differentiate whom they hold accountable, such that it is not necessarily the quality of the threat but the quality of the political response that determines the future of democracy."

3. Welfare Support During Economic Change

How welfare institutions mediate political responses to economic change remains a critical area of research:

"The duality between direct effects of self-interest and indirect effects of relative deprivation is crucial in understanding welfare state criticism of lower social groups. When only total effects are investigated, misleading conclusions could be drawn, as they do not provide insight into these patterns." (Van Hootegem et al., 2021: 136)

This creates a paradox where "Individuals in a vulnerable position are indirectly more critical of the welfare state, they are directly often more positive, as they benefit from extensive redistribution and a strong welfare state." (Van Hootegem et al., 2021: 136)

Regardless of validity, "individuals worried about their worsening financial situation due to automation or foreign or domestic competition become resentful and susceptible to the anti-establishment messages put forth by populist parties." (Bergman, 2023: 523)

Different types of economic change provoke different populist responses:

> "On the one hand, material loss and objective economic disadvantage, such as low income and unemployment, are often associated with stronger support for left-wing parties. This can be primarily explained by an increased demand for egalitarian and redistributive policies following heightened economic hardship." (Bayerlein, Kölzer, & Metten, 2025)

Contrasted with:

> "On the other hand, surviving manufacturing workers are often concerned with subjective decline, status anxieties, and economic insecurities." (Bayerlein, Kölzer, & Metten, 2025)

Empirically:

> "Contrary to popular narratives, higher regional industrial decline is not a significant predictor of greater AfD support but is instead associated with higher support for Die Linke. In fact, the AfD seems to attract support in

> regions where long-term industrial decline was less severe. However, the AfD enjoys greater support in regions of Germany where manufacturing employment was historically high in the 1970s, reflecting anxieties associated with looming decline." (Bayerlein, Kölzer, & Metten, 2025)

Coal phase-outs create political backlash even with compensation:

> "All in all, this section has shown that, on the one hand, coal closures have not led to an objective decline in community-wide economic well-being in affected municipalities. However, on the other, the descriptive patterns presented here also paint a picture of perceived economic deprivation and widespread disappointment with the introduced phase-out policy among those living in affected communities, as leading to higher abstention rates and lower vote shares for the Social Democrats." (Stutzmann, 2025: 18)

This challenges assumptions about compensation effectiveness:

> "Past research has often attributed electoral backlash to structural economic change to a lack of compensation and interest group representation for affected groups. Is that backlash then mitigated in contexts where both of these conditions are fulfilled? I argue that perceived economic deprivation fuelling political disengagement as well as disappointment with the issue-owning party are important factors contributing to such a backlash." (Stutzmann, 2025: 1)

Research on "wage buyouts" reveals resistance to compensation even when economically beneficial:

> "Overall, a sizeable portion of workers are resistant to being freed from work. Strikingly, individuals are more willing to reduce their work hours

> by half than to cease work entirely, even when offered full compensation." (Pelc, 2025)

The source of compensation matters substantially:

> "Program design matters: respondents are significantly more likely to accept compensation from their former employer than from the government." (Pelc, 2025)

These findings challenge assumptions about economic self-interest:

> "Being told that the check is coming from government significantly reduces favorability towards the scheme, with an average of 6.39 on the 0-10 scale. Being told that the check is coming from a former employer significantly increases approval, with an average approval of 7.07." (Pelc, 2025)

Religious factors also influence attitudes toward non-work:

> "By contrast, Protestantism is consistently associated with reluctance to cease work under both schemes. Protestants are also significantly more negatively disposed to the government scheme than to the lottery windfall, yet perhaps most striking is that Protestant religious affiliation appears as the strongest predictor of the decision to (not) cease work following a lottery windfall." (Pelc, 2025)

4. Emotional Mediation of Political Attitudes

Rhodes-Purdy et al. (2021) identify emotions as critical mediators between economic conditions and political attitudes:

"We resolve this problem by arguing that economic factors can influence attitudes through mechanisms other than the materialistic, self-interested pathways that are usually the focus in

political economy. We do this by analyzing the influence of economic factors on political attitudes through an emotional, rather than materialist, lens." (Rhodes-Purdy et al., 2021: 1560)

They argue that "Emotions provide enormous analytical leverage because they provoke specific predictable cognitive and behavioral changes that influence people's orientation to everything in their social environment, not just the original source of the threat." (Rhodes-Purdy et al., 2021: 1563)

This approach provides a bridging mechanism between economic and cultural explanations: "This theory predicts effects similar to the spreading activation theory of memory. In other words, economic hardships can lead to a mental state that predisposes people to embrace certain values, develop or express certain attitudes, and increase the salience of specific elements of their identity." (Rhodes-Purdy et al., 2021: 1563)

VI. Synthesizing Perspectives: Integrated Models and Systemic Dynamics

A. Integrated Theoretical Frameworks: Material, Status, Temporal, and Institutional Pathways

1. A Four-Pathway Model of Welfare-Politics Linkages

Synthesizing insights from all the reviewed research, an integrated framework emerges that identifies four interconnected pathways through which welfare institutions shape political responses to economic change:

1. **Material pathway**: Direct economic hardship creates demand for redistributive policies, typically associated with left parties. As Kurer (2020) explains: "Voters who experience material hardship become dependent on state support and should thus have a strong interest in a generous welfare state to cushion the economic downfall and support their re-entry in the labor market."

2. **Status pathway**: Perceived threats to social status generate demand for status-affirming policies, often expressed through support for right-wing populism. Kurer (2020) notes: "Voters who primarily suffer from status anxiety are more likely to look for propositions that promise to maintain or reinstall their place in the social hierarchy."

3. **Temporal pathway**: Anticipated hardship (fear of future decline) produces different political responses than experienced hardship (actual economic disadvantage). Im et al. (2023) demonstrate: "In short, expectations of status decline, not experiences of status decline, drive support for the radical right in Finland."
4. **Institutional pathway**: Welfare policy designs shape recipients' perceptions of deservingness and solidarity, creating either upward or downward spirals of inclusion. Wagner (2023) explains this dynamic: "My basic theory is that welfare recipients learn social norms that govern welfare access during their own welfare experiences and subsequently mirror these norms in their attitudes towards other recipient groups."

2. The Dual Pathway Model: Material Conditions and Status Perceptions

Research increasingly recognizes that economic vulnerability operates through both material and status pathways to shape political attitudes. Kurer (2020) articulates this duality:

"I argue that individual employment trajectories and relative shifts in the social hierarchy are key to better understand recent political disruptions. A perception of relative economic decline among politically powerful groups—not their impoverishment—drives support for conservative and, especially, right-wing populist parties." (Kurer, 2020: 1798)

The dual pathway framework recognizes distinct but interconnected mechanisms:

"Routine workers may respond politically based on their economic or status concerns. If these concerns motivate opposing policy options, policy support may then depend on which concern routine workers find to be more salient." (Im and Komp-Leukkunen, 2021: 458)

"Extending the focus beyond the usual indicators of material hardship shows that fundamentally economic processes like changing labor markets might very well result in noneconomic—or not purely economic—political responses." (Kurer, 2020: 1800)

3. The Paradox of Inequality: Cognitive and Moral Legitimation Mechanisms

Mijs (2021) articulates a paradox of inequality wherein increased inequality creates the social conditions for its legitimation:

"People underestimate the structural forces that make for inequality because they are increasingly unable to see it from their (isolated) position at the bottom or top of their (segregated) society. Without direct experiences, news reporting and statistics about (growing)

inequality are not likely to change people's perspectives, nor lead them to develop empathy for the plight of unseen others living across the income divide." (Mijs, 2021: 22)

This occurs through social insulation that limits exposure to structural barriers:

"Growing levels of income inequality mean that experiences and interactions with people across income, wealth and racial fault lines are becoming more seldom. Research suggests that income inequality creates greater spatial and social distance between the wealthy and the poor, as they live their lives in different institutions." (Mijs, 2021: 22)

4. Universalism-Particularism as an Organizing Framework

Häusermann et al. (2023) propose universalism-particularism as a framework for understanding political divides:

"A first, more rational-choice-based perspective expects a trade-off, with new left voters 'privileged' by economic transformations emphasizing sociocultural inequalities over socioeconomic ones–and vice versa for 'disadvantaged' far right voters. A second, more sociological perspective, predicts attitudes on inequalities to be aligned along a single dimension from new left 'universalists' being inequality-averse to right-wing 'particularists' being more inequality-tolerant." (Häusermann et al., 2023: 1)

This perspective integrates traditionally separate dimensions into a coherent framework:

"In contrast to what simple 'winner/loser' dichotomies suggest, this literature often discusses conservative-authoritarian voters as being 'a few rungs up' from the bottom of the social ladder, with last-place-aversion in fact making them prone to emphasizing and legitimizing hierarchies of various types towards the lowest-placed (income, ethnic, etc.) groups in society." (Häusermann et al., 2023: 11)

B. Mediating Mechanisms: Resources, Recognition, and Representation

1. Material Resources and Economic Security

Welfare institutions provide material resources that affect economic security and political responses. Vlandas and Halikiopoulou (2022) argue:

"The effect of social risk exposure on radical right voting is contingent on the generosity of social policies targeting these particular social risks." (Vlandas and Halikiopoulou, 2022: 42)

Different welfare policy designs create different patterns of material resources. Gingrich (2019) distinguishes between passive and active compensation:

"The Nordic countries expanded public sector jobs alongside a more regulated private labor market and less early retirement." (Gingrich, 2019: 2-3)

The provision of material resources interacts with social status concerns. Kurer (2020) notes:

"I find that surviving in an environment of structural decline drives support for right-wing populist parties, whereas the actual experience of economic hardship immediately and substantively reduces this support." (Kurer, 2020: 1825)

2. Recognition and Dignity

Recognition emerges as a crucial mediating mechanism between economic vulnerability and political responses. Gidron and Hall (2018) argue:

"If compensation comes in the form of social benefits, our analysis suggests that this may not be enough to assuage voters drawn to radical parties. Radical right voters are not especially strong supporters of redistribution. What distinguishes them from voters for mainstream parties are concerns about recognition – the feeling that they have been pushed from the mainstream to the margins of society – and having a decent job is central to being in that mainstream." (Gidron and Hall, 2018: 2-3)

Wagner (2023) documents how different welfare designs convey different messages of recognition:

"The 'exclusion' and 'misrecognition' experiences that are associated to these behaviors can be rather clearly classified. All of them share similar characteristics: urgent problem pressure (high stakes) meets perceived misrecognition of one's needs and capacities by the state as well as a perception of double standards: the official goals and justifications of the policy do not seem to correspond to its effects on the ground." (Wagner, 2023: 3)

The need for recognition helps explain the appeal of populist politics, as Kurer and Palier (2019) observe:

"We believe that this appeal to personal dignity is key to winning routine workers' support. Perhaps even more than social protection, they demand economic and cultural protection. They feel attracted by promises to re-establish the values of a bygone era of a more homogenous demography, more rigid hierarchies and an economic system that protects domestic workers." (Kurer and Palier, 2019: 4)

3. Democratic Representation

Perceptions of policy representation significantly influence political responses to economic vulnerability. Huber (2023) argues that "populist attitudes among citizens are driven by a combination of policy discontent and issue salience. Specifically, the authors argue that individuals become more populist when they feel poorly represented on policy issues they care strongly about."

Ares and Häusermann (2023) document class-based differences in perceived policy representation:

"Figure 13.1 plots social classes' average evaluation of the extent to which 'political decision-makers share your (the respondent's) views about which reforms in social policy are the most important' (as measured on a 10-point scale). This figure corroborates one of the central tenets of unequal representation studies: the upper classes are indeed more likely to perceive politicians' (social policy) priorities as congruent with their own." (Ares and Häusermann, 2023: 304)

De Ruyter et al. (2022) highlight the role of governance arrangements in mediating perceptions of political representation:

"This raises questions around whether voter perceptions of 'being left behind' (particularly in the peri-urban fringes of the Midlands and North of England) are in part driven by a sense of being politically as well as economically left behind." (De Ruyter et al., 2022: 4)

C. Systemic Dynamics and Recursive Processes

1. Inequality-Populism Recursive Loops

Research identifies feedback loops where political outcomes reinforce the conditions that produce them. Cena (2022) describes the inequality-populism loop:

"Ironically then, those whose concerns are a direct result of rising inequality are distracted away from the systematic explanations for such inequality. Because of reduced social cohesion and increased perceptions of threat within their increasingly unequal nation, they focus on the national agendas and in particular on emotive issues such as patriotism, the boundaries of the national community, and immigration." (Cena, 2022: 422)

"These feelings are used by FR populists to feed support for the right-wing agenda, and so support for FR populism is increased, which serves to sustain inequality and the status quo." (Cena, 2022: 422)

The paradox continues as inequality reduces awareness of structural factors:

"Unfortunately then, FR populists do not address issues of inequality, mask systematic explanations for it, and can further contribute to it by limiting wealth redistribution and failing to offer any political policies that might address the problems. In this way, the status quo is protected and a spiral of inequality maintained." (Cena, 2022: 426)

2. Policy Feedback Effects on Political Attitudes

Wagner (2022) identifies how welfare policies create self-reinforcing political dynamics:

"Finally, the implementation of such policies that intend to 'cushion' radical right support, might have an adverse feedback effect of 'catalyzing' greater support for radical right parties (Ennser-Jedenastik and Koeppl-Turyna, 2018). Should policies favour socio-demographic groups that potential populist radical right voters displease of, such as those not affiliated with nostalgic views of the welfare state like immigrants or labour market outsiders or those not involved in 'producerist' activities, like the unemployed, voters might turn to the populist radical right to reorient policies in favour of those currently employed." (Bergman, 2023: 521)

Kurer (2020) describes how policy approaches may fail to address underlying concerns:

"The limited capacity of governments to effectively attenuate political grievances among those adversely affected by relentless technological progress highlights the strategic disadvantage of responsible center-right or center-left parties in contemporary democracy. It renders postindustrial societies vulnerable to political forces responding to voters on the grounds of less tangible identity politics, which are difficult to counter with mundane, precise, and politically feasible policy reactions." (Kurer, 2020: 1826)

3. Breaking the Cycles

Researchers suggest potential interventions to disrupt reinforcing cycles:

"A necessary starting point for understanding the politics of inequality, is to disentangle the relationship between experiences, beliefs and preferences. Publics in unequal societies may find themselves stuck in a feedback loop, where more inequality paradoxically leads them to experience less of it—and care less about it." (Mijs, 2021: 33)

"Breaking that loop requires taking seriously people's beliefs and lived experiences, and designing social policy to bring the two in closer alignment. Until then, there is nothing surprising about the fact that people in highly unequal societies approach politics from the highly skewed vantage point of their own experiences." (Mijs, 2021: 33)

D. The Influence of Context (Institutional, Cultural, Spatial, Temporal)

1. Welfare Regime Types and Political Dynamics

Different welfare state regimes create distinctive political dynamics and social conditions that affect how citizens respond to economic vulnerability.

Busemeyer et al. (2023) identify a distinctive "particularistic-authoritarian" welfare state model favored by populist radical right party supporters:

"We define the policy mix described above – strong support for workfare, moderate support only for 'deserving' recipients of social transfers, and low support for social investment – as a particularistic-authoritarian type of welfare state." (Busemeyer et al., 2023: 85)

"First, building on the welfare state literature (e.g. Beramendi et al. 2015), the particularistic dimension of this preference structure stems from narrow conceptions of welfare deservingness, which exclude the unemployed and poor from entitlements to social transfers, as they are considered to break with the social norm to be 'hard-working'." (Busemeyer et al., 2023: 85)

2. Spatial/Geograpic Dimensions of Economic Vulnerability

The spatial or geographic dimension of economic vulnerability plays a crucial role in shaping political responses. Bolet (2021) emphasizes:

"This paper advances the theory that the degradation of local socio-cultural hubs is linked to radical right support by contributing to loss of community and cultural identity." (Bolet, 2021)

Broz et al. highlight the importance of the community level for understanding political reactions:

"The populist upsurge in the United States was strongest in counties with declining economic and social conditions. Drawing on county-level data, we plot changes in Trump two-party vote shares in 2016 (again, compared with Romney in 2012) against changes in the following three indicators: median household income, population, and mortality rates for twenty-five- to forty-five-year-olds." (Broz et al.: 475)

Adler and Ansell (2022) argue that housing markets structure political geography:

"The housing market structures the political map by locking people into – or out of – different climates of fortune: in some areas, a housing boom inspires optimism; in others, a housing bust fosters a sense of exclusion – not only from the gains of their neighbours, but also from the areas where housing is no longer affordable to them." (Adler and Ansell, 2022: 346)

Economic vulnerability is not distributed evenly but concentrates in specific regions:

> "While the paper focuses on the decline of the U.S. auto industry, the key insights about the social status anxieties and anti-globalization sentiment found in 'transition towns' suggest that these dynamics may be present in other geographic areas experiencing economic restructuring." (Ballard-Rosa, Goldstein, & Rudra, 2024)

The effects of economic change vary substantially by region:

> "Regions with higher manufacturing employment in the 1970s generally continue to be characterised by higher proportions of manufacturing employment today. In particular, these include regions specialized automotive industries (such as Wolfsburg and Ingolstadt) or mechanical industries (such as many regions in Baden-Württemberg), which have been able to retain their industrial production." (Bayerlein, Kölzer, & Metten, 2025)

Contrasted with:

> "In contrast, regions that relied on high levels of traditional heavy industrial production in the postwar decades—such as steel, textiles, and shipbuilding in Germany's coastal regions, the Ruhr, or Palatinate—have experienced a sharp decline in manufacturing employment since the 1970s and 1980s." (Bayerlein, Kölzer, & Metten, 2025)

3. Temporal Context and Historical Trajectories

Long-term temporal context and historical trajectories significantly influence political responses to economic vulnerability. Dijkstra et al. (2019) emphasize:

"The coefficient of the main variable of interest – the rate of economic change – is, regardless of the controls and of the inclusion or not of country fixed effects, always negative and very strongly significant in all six regressions. Places that have experienced long-term above-average

economic growth tend to vote less for parties opposed to European integration than those that have undergone relative economic decline." (Dijkstra et al., 2019: 746-747)

Historical patterns of welfare state development also matter, as Bonoli (2013) shows in his analysis of ALMPs across three historical periods, finding that "the social investment orientation of policy is not a recent phenomenon. On the contrary the notion that labour market policy should increase the re-employment chances of jobless people by investing in their human capital was probably stronger in the 1950s and 1960s than today."

4. Cultural Narratives and Moral Frameworks

Cultural narratives and moral frameworks provide the context within which economic vulnerability is experienced and interpreted. Ciccolini (2024) argues:

"I join other social scientists in considering that the dispute in scholarly and public debate around whether far-right voters are motivated more by cultural or economic reasons is a flawed one. This is because voters give a cultural reading to economic phenomena, namely those that they experience firsthand." (Ciccolini, 2024: 12)

Moral frameworks can either mitigate or amplify status anxieties during economic vulnerability. Enke's (2020) research demonstrates that individuals with more universalistic moral values show greater resilience against status threats, as they place less emphasis on relative group position. In contrast, those with particularistic moral frameworks show heightened sensitivity to status threats, as group position constitutes a core moral concern.

E. Patterns of Political Response to Economic Vulnerability

1. Populist Party Appeal

Populist parties offer specific appeals that resonate with voters experiencing status anxiety.

"Right-wing populist parties have long recognized this. Their programmatic proposal, whether politically viable or not, should not be trivialized as mere populist seduction void of content but as a political offer to the sizable part of the population who faces rather bleak prospects and fears social regression." (Kurer, 2020: 1826)

"The limited capacity of governments to effectively attenuate political grievances among those adversely affected by relentless technological progress highlights the strategic disadvantage of responsible center-right or center-left parties in contemporary democracy. It renders postindustrial societies vulnerable to political forces responding to voters on the grounds of less

tangible identity politics, which are difficult to counter with mundane, precise, and politically feasible policy reactions." (Kurer, 2020: 1826)

"What they [right-wing populist parties] offer is not primarily relief from economic stress but remedies against status anxiety by promoting the values of an idealized past where routine workers were a valued and crucial pillar of society." (Kurer, 2020: 1806)

"What differentiates them from left-authoritarian parties that might purport a similarly nostalgic worldview is their derogative rhetoric toward migrants as well as 'undeserving' or 'lazy' parts of the native population, both of which offer an obvious lower status target at which to direct hostility in an attempt of comparative status enhancement." (Kurer, 2020: 1806)

2. Political Realignment

Economic vulnerability and status concerns drive political realignments across traditional party lines.

"What these studies suggest is that the threat of decline in social status, rather than actual outcomes of decline (e.g. unemployment, poverty), drives voters into the hands of PRRPs, as the latter offer voters the prospect of defending traditional social boundaries, especially between the native in-group and the immigrant out-group." (Busemeyer et al., 2021: 7)

"Without left-wing progressive policies and narratives, radical-right populists can mobilize dissent through culturally symbolic issues, using the nation as an imagined solidarity community that protects against globalization." (Berman & Snegovaya, 2019; Scheiring, 2020, cited in Zhrnov, 2024: 12)

"Radical left parties appeal to these voters not by calling for a return to earlier times but instead by calling for a radically different economic system to combat growing inequality and to economically reward those with goals other than profit growth, be they environmental, sociocultural, or humanitarian." (Kurer & van Staalduinen, 2022: 1343)

"When voters abandon their class identity and redefine themselves in terms of their moral or religious values, the latter become more important to explain their beliefs in several domains." (Bonomi et al., 2021: 2373)

3. Nostalgic Rhetoric

Populist parties, particularly on the right, employ nostalgic rhetoric that resonates with voters experiencing status anxiety. Gest, Reny, and Mayer identify "nostalgic deprivation" as a central appeal of radical right parties:

"Support for the Radical Right is the product of a latent psychological phenomenon we call nostalgic deprivation—the discrepancy between individuals' understandings of their current status and their perceptions about their past" (p.2-3).

"Supporters of the Radical Right are consumed by their perceived drop in status" (p. 3).

Kurer describes how populist parties frame their appeals:

"What they [right-wing populist parties] offer is not primarily relief from economic stress but remedies against status anxiety by promoting the values of an idealized past where routine workers were a valued and crucial pillar of society" (p.1806).

4. Anti-Elite Positioning

Populist parties position themselves against political and economic elites. Bolet's research on local socio-cultural degradation highlights:

"The Manichean, us-versus-them, worldview of populists pits the 'us' of those being made more insecure against the 'them' of perceived beneficiaries of change: liberal elites, government bureaucracy, minorities, and new social groups competing for jobs, including immigrants, foreign workers, fixed-term or part-time employees, and women" (p. 522).

Browning's analysis of Brexit rhetorical strategies notes:

"The Leave campaign was built around a series of (populist) fantasy narratives promising freedom and liberty, sovereignty and control, subjectivity and agency that tapped into signifiers embedded within national narratives of self-identity" (Browning, 2018, p. 16).

F. The Overarching Challenge: The Trilemma of Welfare, Status, and Democracy

1. The "Compensation Gap" Trilemma

An integrated view of the research reveals a fundamental trilemma at the heart of contemporary welfare politics. As economic insecurity increases due to globalization, automation, and other structural changes, traditional welfare responses face three competing challenges:

1. **Material adequacy**: Providing sufficient material compensation for economic losses
2. **Status recognition**: Addressing status anxiety and maintaining dignity
3. **Political sustainability**: Maintaining democratic legitimacy and avoiding populist backlash

This trilemma is highlighted by Kurer (2020), who notes: "When relative societal decline rather than material hardship are at the heart of socially conservative resentment, traditional welfare policy may be an insufficient response to satisfy exposed workers and hence an ineffective remedy to counter the ascent of right-wing populist movements."

Gidron and Hall (2018) similarly observe: "If compensation comes in the form of social benefits, our analysis suggests that this may not be enough to assuage voters drawn to radical parties. Radical right voters are not especially strong supporters of redistribution. What distinguishes them from voters for mainstream parties are concerns about recognition – the feeling that they have been pushed from the mainstream to the margins of society – and having a decent job is central to being in that mainstream."

2. Policy Challenges and Dilemmas

The trilemma creates specific policy challenges that must be addressed simultaneously.

First, targeted welfare may address material needs but undermine status by creating stigma, as Laenen and Meuleman (2025) explain: "Many scholars have argued that highly selective welfare schemes which are for instance only available to poor people through means testing, foster the stereotypical image that welfare claimants are a 'different kind of people', characterized by a deeply rooted unwillingness to contribute meaningfully to society."

Second, universal welfare may better address status concerns but face challenges of political legitimacy in increasingly diverse societies, as Lee notes: "The welfare state has been pointed out as a site where there is tension between welfare and immigration, as immigrants are deemed newcomers and 'lack' contribution to the system based on reciprocity."

Third, effective welfare policies must navigate the risk of self-undermining feedback effects, as Bergman (2023) warns: "More formally, this suggests that some policies might have a 'self-undermining' feedback effect, whereby high levels of intervention might lead to public opinion (and voting behaviour) to decrease interventionism and vice versa."

3. The Social Investment Solution?

The social investment paradigm offers a potential framework for addressing the trilemma by simultaneously targeting material needs, status concerns, and political legitimacy. This approach emphasizes:

1. **Human capital development** that enhances long-term employability while preserving dignity

2. **Capabilities enhancement** that expands freedom and agency, addressing status concerns
3. **Rights-based implementation** that emphasizes equality of citizenship and human dignity
4. **Participatory governance** that involves recipients in program design and implementation

As Nicaise (2021) demonstrates, social investment programs can be designed to maximize "autonomy, choice and participation," potentially addressing both material needs and status concerns. This approach aligns with research on procedural fairness and the importance of dignity-affirming implementation identified by Wagner (2023) and others.

The research suggests that the design and implementation of welfare institutions, not just their level of generosity, critically influence their effects on political attitudes and behavior. Well-designed social investment approaches may offer the best opportunity to address material needs while preserving dignity and maintaining democratic legitimacy.

Conclusions and Implications

This comprehensive theoretical integration reveals several key insights:

1. **Multidimensional Vulnerability**: Economic vulnerability operates through multiple pathways—material, status, temporal, and institutional—to shape political attitudes and behavior. Traditional compensation-focused approaches often neglect the status and relational dimensions that are crucial for understanding political responses.
2. **Agency and Dignity**: Across diverse theoretical traditions, human dignity, agency, and autonomy emerge as crucial mediating factors between economic vulnerability and political responses. Welfare institutions affect not just material outcomes but individuals' sense of recognition, respect, and social integration.
3. **Recursive Systems**: Political responses to economic vulnerability operate through recursive systems with important feedback effects. Welfare institutions shape citizens' perceptions and attitudes, which in turn influence future institution-building through democratic processes.
4. **Context Dependency**: The effects of economic vulnerability and welfare institutions on political outcomes are highly context-dependent, varying across spatial, temporal, institutional, and cultural contexts. Theoretical integration must acknowledge this contextual variation rather than seeking universal causal relationships.
5. **Implementation Significance**: How policies are implemented—not just their formal design—crucially affects their political impacts. Dignity-affirming implementation that respects

agency and voice may be as important as the material benefits provided.

The research points toward the social investment paradigm as a promising theoretical framework for addressing both material needs and status concerns. By focusing on capabilities enhancement, human capital development, and dignity-preserving implementation, this approach may help reconcile the competing demands of material adequacy, status recognition, and democratic legitimacy.

Future research should further develop these integrated theoretical perspectives, examining how specific welfare designs might better address the multidimensional nature of economic vulnerability while supporting democratic resilience against populist challenges.